

ASIAN DEVELOPMENT BANK

RRP:BAN 29041

**REPORT AND RECOMMENDATION
OF THE
PRESIDENT
TO THE
BOARD OF DIRECTORS
ON A
PROPOSED LOAN
AND TECHNICAL ASSISTANCE GRANT
TO THE
PEOPLE'S REPUBLIC OF BANGLADESH
FOR THE
URBAN GOVERNANCE AND INFRASTRUCTURE IMPROVEMENT (SECTOR)
PROJECT**

October 2002

CURRENCY EQUIVALENTS

(as of 15 October 2002)

Currency Unit	–	taka (Tk)
Tk1.00	=	\$0.01728
\$1.00	=	Tk57.85

ABBREVIATIONS

ADB	–	Asian Development Bank
CULG	–	Committee on Urban Local Governments
EIRR	–	economic internal rate of return
ERD	–	Economics Relations Division
ESSI	–	environment, sanitation and slum improvement
FIRR	–	financial internal rate of return
FWC	–	female ward commissioner
GAP	–	gender action plan
GDP	–	gross domestic product
GPD	–	governance program development
ICB	–	international competitive bidding
IEE	–	initial environmental examination
IMED	–	Implementation Monitoring and Evaluation Division
LGD	–	Local Government Division
LGED	–	Local Government Engineering Department
MDS	–	management, design, and supervision
MLGRDC	–	Ministry of Local Government, Rural Development and Cooperatives
MPRC	–	Municipal Performance Review Committee
MOF	–	Ministry of Finance
MSU	–	municipal services unit
NGO	–	nongovernment organization
O&M	–	operation and maintenance
PD	–	project director
PEM	–	performance evaluation and monitoring
PIU	–	project implementation unit
PMO	–	project management office
PPMS	–	Project Performance Management System
PPRC	–	Pourashava Performance Review Committee
SOE	–	statement of expenditures
SPAR	–	subproject appraisal report
STIDP	–	Secondary Towns Infrastructure Development Project
TA	–	technical assistance
UGIAP	–	urban governance improvement action program
UMSU	–	Urban Management Support Unit

NOTES

- (i) The fiscal year (FY) of the Government ends on 30 June. FY before a calendar year denotes the year in which the fiscal year ends.
- (ii) In this report, "\$" refers to US dollars.

This report was prepared by a team consisting of H. Kim, Team Leader and Principal Urban Economist; C. Bunchandranon, Principal Project Implementation Officer; Z. Hossain, Senior Economist; F. Sultana, Gender and Development Specialist; M. Sultana, Social Development Specialist; and V. You, Senior Counsel.

CONTENTS

	Page
LOAN AND PROJECT SUMMARY	iii
MAP	ix
I. THE PROPOSAL	1
II. RATIONALE: SECTOR PERFORMANCE, PROBLEMS, AND OPPORTUNITIES	1
A. Urban Sector Performance Indications and Analysis	1
B. Analysis of Key Problems and Opportunities	2
III. THE PROPOSED PROJECT	4
A. Objectives	4
B. Sector Loan Approach	4
C. Components and Outputs	4
D. Cost Estimates	8
E. Financing Plan	9
F. Implementation Arrangements	10
IV. TECHNICAL ASSISTANCE FOR SUPPORTING URBAN GOVERNANCE REFORM	16
A. Objectives and Scope	16
B. Cost Estimates and Financing Plan	17
C. Implementation Arrangements	17
V. PROJECT BENEFITS, IMPACTS, AND RISKS	17
A. Major Benefits and Impacts	17
B. Major Risks	18
VI. ASSURANCES	19
A. Specific Assurances	19
B. Conditions for Loan Effectiveness	20
VII. RECOMMENDATION	20
APPENDIXES	21
1. Project Framework	21
2. Summary of Urban Sector Analysis	26
3. External Assistance to the Urban Sector	28
4. Urban Governance Improvement Action Program and Performance Criteria	29
5. High Priority Investment Program for Phase 1	32
6. Project Cost Estimates	33
7. Implementation and Management Arrangements	34
8. Subproject Component Selection Criteria	35
9. Implementation Schedule	37
10. Indicative Civil Works and Procurement Packages	39
11. Consulting Services for Project Management and Capacity Building	40
12. Technical Assistance for Supporting Urban Governance Reform	46
13. Summary Poverty Reduction and Social Strategy	50
14. Economic and Financial Analyses of Typical Subprojects	53

SUPPLEMENTARY APPENDIXES (available on request)

- A. Project Processing Chronology
- B. LGED's Operations and Vision
- C. Urban Management Policy Statement of MLGRDC
- D. Sector Investment Plan
- E. Summary TORs for PMO and PIUs
- F. Selection Criteria for NGOs
- G. Land Acquisition and Resettlement Framework
- H. Sample Resettlement Plan
- I. Indigenous Peoples Framework
- J. M&E Indicators and Performance Ratios
- K. Summary Initial Environmental Examination of Two Pourashavas

LOAN AND PROJECT SUMMARY

Borrower	People's Republic of Bangladesh
Classification	Poverty: Poverty Intervention Thematic: Gender and Development, Good Governance
Environment Assessment	Category B: An initial environmental examination (IEE) was undertaken and the summary IEE is in Supplementary Appendix K.
Project Description	The Project is formulated as a sector loan to support the Government's sector investment plan for 22 secondary towns. To be included in the Project, municipalities (Pourashavas) are required to implement an Urban Governance Improvement Action Program (UGIAP). Initially, Pourashavas will be given limited funds to cover the most urgent investment requirements. The continuing participation in the sector Project, however, will depend on the actual progress made with the implementation of the UGIAP by the participating municipalities. This suggests a significant improvement from the previous approach, in which all investment components were predetermined at the time of project appraisal and the participating Pourashavas were left unaccountable for their performance during project implementation. The blueprint approach adopted in the past has clearly failed in its commitment to bring about sustainable improvements in urban management because of the basically supply-driven nature of resource allocation. Thus, a performance-based sector approach is employed under the Project, involving demand-driven allocation of loan proceeds that is based on clearly defined performance criteria and the commitment to undertake governance reform.
Rationale	Recent experience in Bangladesh suggests that urbanization needs to be seen in a positive light. The poverty reducing potential of well-planned and decentralized urbanization is immense, especially in the longer term. However, unplanned and uncontrolled urbanization creates tremendous pressure on basic urban infrastructure and eventually limits the growth potential of the national economy. Moreover, the concentration of population and activities in a few metropolitan areas tends to further aggravate urban environmental conditions in the absence of adequate capacities to manage urban growth. Recognizing diseconomies of congestion and environmental degradation in metropolitan cities, the Government has requested ADB to continue to provide assistance to the urban sector for rehabilitation and expansion of urban development and services in Pourashavas throughout the country, and to further assist in decentralization and strengthening of urban governance.

Objectives and Scope

The Project will assist the selected Pourashavas to (i) enhance accountability in municipal management and strengthen capabilities in the provision of municipal services, and (ii) develop and expand physical infrastructure and urban services to increase economic opportunities, and to reduce vulnerability to environmental degradation, poverty, and natural hazards. The Project will also promote the active participation of women citizens in municipal management and services as well as upgrade the conditions of the poorest and most needy groups in the slum area.

The Project comprises three parts: Part A, Urban Infrastructure Improvement, covers the improvement/expansion of the following municipal infrastructure facilities: (i) roads and bridges, (ii) storm water drainage, (iii) low-cost sanitation, (iv) solid waste management, (v) municipal facilities (e.g., bus and truck terminals, kitchen markets, and slaughterhouses) and (vi) slum improvement. Under specific circumstances inclusion of water supply rehabilitation schemes will also be considered.

Part B, Urban Governance Improvement, includes implementation of an action program in five key result areas: (i) citizen awareness and participation; (ii) women's participation; (iii) integration of the urban poor; (iv) financial accountability and sustainability; and (v) administrative transparency. In each of these five areas, the Pourashavas will need to achieve well-defined performance targets that will be closely monitored and evaluated during project implementation.

Part C, Capacity Building and Implementation Assistance, covers (i) project management, detailed engineering design, construction supervision, nongovernment organization support to community-based activities, and facilitation of community mobilization; and (ii) institutional capacity-building programs for Pourashavas to successfully implement the UGIAP, including (a) an orientation program for Pourashava chairpersons and ward commissioners, (b) a tailored program for female ward commissioners, (c) training programs for municipal secretaries to implement the community-based activities under the UGIAP, (d) computerization of tax records and billing, (e) computerization of accounting management, (f) infrastructure inventory assessment and mapping, and (g) training for decentralized township planning.

Cost Estimates

The Project will cost approximately \$87 million equivalent, \$21.5 million equivalent of this in foreign exchange costs and \$65.5 million equivalent in local currency costs.

Component	Foreign Exchange	Local Currency	Total Costs
Part A: Urban Infrastructure Improvement	17.6	47.1	64.7
Part B: Urban Governance Improvement	0.4	4.5	4.9
Part C: Capacity Building and Implementation Assistance	1.8	11.3	13.1
Interest During Construction	1.7	2.6	4.3
Total	21.5	65.5	87.0

Financing Plan

The Asian Development Bank (ADB) will provide a loan of \$60 million equivalent from its Special Fund resources, representing 69% of the total costs. The loan will finance the entire foreign exchange costs and part of the local currency costs. The Government, Pourashavas, and beneficiaries will meet the balance of 31% of the project cost.

Participants	Foreign Currency	Local Currency	Total Costs	Percentage
Asian Development Bank	21.5	38.5	60.0	69.0
Government	0.0	22.8	22.8	26.1
Pourashavas	0.0	3.9	3.9	4.5
Beneficiaries	0.0	0.3	0.3	0.4
Total	21.5	65.5	87.0	100.0

Loan Amount and Terms A loan of SDR 45,461,000 (\$60 million equivalent) from ADB's Special Funds resources will have a 32-year term, including a grace period of 8 years; interest charge of 1% per annum during the grace period and 1.5% per annum thereafter; and such other terms and conditions set forth in the Loan Agreement.

Period of Utilization Until 31 December 2009

Estimated Project Completion Date 30 June 2009

Executing Agency The Local Government Engineering Department (LGED) under the Local Government Division (LGD) of the Ministry of Local Government, Rural Development and Cooperatives

Implementation Arrangements A project management office (PMO), led by a full-time project director, will be established at LGED. The project director will be directly responsible for overall project implementation, monitoring, and supervision. PMO will have two deputy project directors, one for technical, engineering, and supervision support; and one for environment, sanitation, and slum improvement. In each participating Pourashava, a project implementation unit (PIU) will be established, headed by the pourashava chairperson and comprising three sections: (i) Infrastructure Improvement Section; (ii) Environment, Sanitation and Slum Improvement Section; and (iii) Urban Governance Improvement Section.

Training capacities at LGED will be strengthened and transferred into the national and regional urban management support units (UMSUs), which will be responsible for providing comprehensive training and institutional support, in the first instance, to all Category A and larger Category B Pourashavas.

Procurement

Goods and services will be procured in accordance with ADB's *Guidelines for Procurement*. Since the contracts for civil works will be small and widely dispersed, international competitive bidding (ICB) is not considered appropriate. Consequently, all the civil works contracts will be procured on the basis of local competitive bidding among prequalified contractors in accordance with the Government's procurement procedures acceptable to ADB. Each supply contract for equipment or materials estimated to cost \$500,000 or more will be awarded on the basis of ICB, and those costing less than the equivalent of \$500,000 (other than minor items) but more than \$100,000 will be awarded on the basis of international shopping. Direct purchase procedures will be used for small or off-the-shelf items valued at less than \$100,000.

Consulting Services

Consultants will be selected and engaged in accordance with ADB's *Guidelines on the Use of Consultants* and other arrangements satisfactory to ADB. A total of 4,006 person-months of consulting services (59 international and 3,947 domestic) will be required. Five packages of consulting services will be provided under the Project: two for the national UMSU (governance program development, and performance evaluation and monitoring) and three for the PMO (management, design and supervision, monitoring and evaluation, and facilitation of UGIAP activities). The consultants will support the UMSU and PMO/PIUs and will transfer project management and technical skills to the government staff.

Disbursement

The civil works contracts to be awarded will generally be small in value and involve a large number of contractors and suppliers. To ensure effective Project implementation and timely disbursement, the Government will establish an imprest account in the name of the Project at the Bangladesh Bank immediately after the effectiveness of the Loan Agreement. Payments for civil works contracts will be made through this account for eligible payments under the Project. The statement of expenditures (SOE) procedure will be adopted to facilitate reimbursement and liquidation of small contracts. The imprest account and the SOE procedure will be established, maintained, and audited in accordance with ADB's *Loan Disbursement Handbook*. The initial advance to the imprest account will correspond to 6 months of estimated ADB-financed expenditures to be paid from this account. The SOE procedure is applicable only to payments below \$50,000 equivalent.

Implementation Period and Startup Activities

Based on the experience of Secondary Towns Infrastructure Development I and II, and in view of the sector modality of the Project, and the large number and geographical spread of participating Pourashavas, the Project will be implemented over a period of 6 years. Implementation is expected to commence in the second quarter of 2003. Start-up activities (after Loan Approval) will include the following: (i) establishment of the national and regional UMSUs (LGED); (ii) recruitment of project staff for the PMO and PIUs (LGED and Pourashavas); (iii) selection and recruitment of consultants (LGED); (iv) preparation of strategic development vision (Pourashavas); (v) preparation of subproject appraisal reports for the Phase 1 work program (LGED and Pourashavas); and (vi) procurement of immediately required equipment (LGED). Physical works may not start before the fourth quarter of 2003 due to the need to undertake extensive surveys and prepare detailed engineering designs and contract documents.

Project Benefits and Beneficiaries

All current 1,836,000 citizens of the project towns, representing around 6% of the total urban population are expected to benefit, directly or indirectly, from the Project. This will be achieved mainly through improvement of basic urban infrastructure facilities including roads (400 kilometers [km] and at least 25 bridges) and drainage systems (260 km). Regarding the latter, it is expected that around 650,000 people will benefit from reduced flooding and greater productivity. Particular attention will also be given to improving the living conditions of the urban poor (estimated 120,000 people or around 7% of the beneficiaries), through community-based environmental improvement works and slum improvement activities. Further, the implementation of the Project will require almost 10,000 person-years of unskilled laborers of which at least one third will be women. Through the provision of microcredit, income-generating activities will be supported in particularly for women in low-income areas.

It is estimated that, upon completion of the Project (2009), around 20,000 households will have improved domestic sanitary facilities, while the general public will have better access to community toilets. Improved solid waste management (currently around 50% of the waste is collected and disposed of) will improve health and environmental conditions. The planning assumption is that, in 2011, all Pourashavas should have the facilities to reach a waste collection and disposal efficiency of at least 70%.

Risks and Assumptions

While no unusual risks are foreseen during implementation, the potential risks concern (i) delays in implementation due to slow progress with start-up activities; (ii) lack of suitably qualified personnel in the Pourashavas which may eventually lead to weak implementation of subprojects at the Pourashava level; and (iii) sustainability of the facilities and services provided under the Project.

Technical Assistance

The accompanying TA for Supporting Urban Governance Reform will provide necessary technical and secretarial support to the Committee on Urban Local Governments in the key policy areas that were identified during the policy dialogue with the Government: (i) in consultation with various stakeholders in the urban sector, prepare the National Urban Sector Policy for cabinet approval, containing recommendations, among others, on the approach to be followed in the process and pattern of urbanization in Bangladesh; (ii) review the existing holding tax system in the country and suggest reforms for improving collection of holding taxes from public and private sector entities as well as solving the problem of recurrent arrears of such taxes; (iii) make recommendations for the amendment of the 1977 Pourashava Ordinance to reflect the needs for improved local governance and better urban management; and (iv) review the Government's long-term strategy for municipal development (covering upazila towns and Pourashavas) and make recommendations for preparing a master plan for future development of these key urban centers.

The total cost of the TA is estimated at \$520,000 equivalent. ADB will finance \$400,000 equivalent, on a grant basis, covering all the foreign exchange costs (\$85,000) and part of local costs from the ADB-funded TA program.

The Committee will be supported by a full time secretariat to be established at LGED, under the overall supervision of the secretary of LGD. The LGD will be the executing agency.



I. THE PROPOSAL

1. I submit for your approval the following report and recommendation on a proposed loan to the People's Republic of Bangladesh for the Urban Governance and Infrastructure Improvement (Sector) Project. The report also describes proposed technical assistance (TA) for Supporting Urban Governance Reform, and if the Board approves the proposed loan, I, acting under the authority delegated to me by the Board, will approve the TA.

II. RATIONALE: SECTOR PERFORMANCE, PROBLEMS, AND OPPORTUNITIES

2. Recognizing diseconomies of congestion and environmental degradation in metropolitan cities, the Government has requested the Asian Development Bank (ADB) to continue to provide assistance to the urban sector for rehabilitation and expansion of urban development and services in secondary towns (Pourashavas) throughout the country, and to further assist in the decentralization and strengthening of urban governance. In response, ADB provided two project preparatory technical assistance (PPTA)¹ grants to undertake a feasibility study and project preparation. This Report is based on the findings of these PPTAs, and the discussions with all stakeholders during the TA review, loan fact-finding, and appraisal missions.² The project framework is in Appendix 1, which summarizes the objectives, scope, and approach of the Project.

A. Urban Sector Performance Indicators and Analysis

3. **Urbanization.** In 2001, the total urban population in Bangladesh was about 30 million, representing approximately 23% of the national population. While this level of urbanization is relatively low by Asian standards, the urban population grew at an annual rate of about 3.5% in 1991-2000, compared with the national population growth rate of 1.5%. The growth rates of Pourashavas range from relatively low in most (at around 2%), to moderately high (up to 4.5%) in a few cases. The growth of the urban population in Bangladesh is mainly due to the growth of metropolitan cities.

4. **Contribution to Economic Growth.** Rapid urbanization has contributed to the growing share of the urban sector in overall economic growth. Over 40% of the country's gross domestic product (GDP) is now derived from the urban sector, from a low of 25% in the early 1970s. The Government's Fifth Five-Year Plan (1997-2002) projected that the urban sector GDP would grow at around 14% per annum, which is more than twice the growth target for the national GDP.

5. **Urban Poverty.** The incidence of poverty in Bangladesh, as measured by the costs of basic needs poverty line, fell from 58.8% in FY1992 to 49.8% in 2000. A sector breakdown shows that progress in reducing poverty was almost equal across urban and rural areas: the urban headcount ratio declined from 44.9% to 36.6% (by 8.3%) while rural poverty declined from 61.2% to 53.0% (by 8.2%). However, the moderate reduction in urban poverty during the last decade was accompanied by a notable increase in urban income inequality, as the Gini coefficient increased from 0.398 to 0.452.

6. The situations have been somewhat different in the case of absolute numbers of the poor in urban and rural areas. In FY1992, the number of urban poor population was 6.5 million when total urban population was 14.6 million. This then increased to 9.3 million in 2000. Thus there has been at least a 43% growth of the urban poor population during the last decade. The

¹ ADB. 1997. *Technical Assistance to Bangladesh for Third Urban Development (TUDP)*. Manila. With a significant delay in the processing of the subsequent loan project, ADB provided a follow-up TA in 2001 for *Urban Governance and Infrastructure Improvement Project* to update the findings of the earlier TA and reformulate the Project as a sector loan.

² Project processing chronology is included in Supplementary Appendix A.

rural poor population, on the other hand, recorded a decline in absolute number from 57.6 million to 53.5 million. The principal reason behind this phenomenon is the large-scale shift of the rural population to the urban areas in the hope of better economic opportunities. If the current trend of migration continues, the urban poor will increase to 25-30% of the country's total poor by 2020, if not more. These facts point to the growing need to address urban poverty both as an aspect of a new dimension of poverty (relative to rural poverty) and as a matter of increasing priority to reducing poverty.

7. **Urban Infrastructure and Basic Services.** There are deficiencies in all urban services. Only 30% of urban households use tap water for drinking, and probably less than 20% have their own house connections. With the exception of a limited waterborne sewerage system in Dhaka, no other urban center has any form of sewerage system. Solid waste collection levels are around 20%. Urban areas also suffer from severe traffic congestion and the absence of any form of mass public transit system. For most urban residents, housing conditions are very bad. Only 25% of urban households live in dwellings with permanent structure. Very high land prices, insecurity of tenure, and a lack of housing finance have handicapped the growth of the formal sector of the housing market. In most urban centers, ambient air and water quality is extremely poor. The major sources of air pollution are traffic, brickfields, and industry. The major sources of water pollution are domestic and industrial wastewater discharges. Inadequate drainage increases the exposure of the urban population to the effects of polluted water.

B. Analysis of Key Problems and Opportunities

1. Slow Progress in Policy and Institutional Reform

8. Recent experience in Bangladesh suggests that urbanization needs to be seen in a positive light. The poverty reducing potential of well-planned and decentralized urbanization is immense, especially in the longer term. However, unplanned and uncontrolled urbanization creates tremendous pressure on basic urban infrastructure and eventually limits the growth potential of the national economy. Moreover, the concentration of population and activities in a few metropolitan areas tends to further aggravate urban environmental conditions in the absence of adequate capacity to manage urban growth (a summary of urban sector analysis is presented in Appendix 2).

9. The Government is therefore developing secondary towns to improve their living standards, particularly in the poorer areas, and to provide an alternative to those who would join the migration to the larger metropolitan cities. ADB has been assisting the Government to achieve these goals since 1990 through the Secondary Towns Infrastructure Development Projects I and II³ (STIDP I and II). So far, ADB has supported upgrading of municipal infrastructure facilities in 32 of 64 district towns in Bangladesh. The World Bank is currently covering another 14 district towns under its Municipal Services Project (external assistance in the sector is summarized in Appendix 3). With the implementation of the proposed Project, almost all district towns in Bangladesh will be provided with necessary financial and technical assistance to improve basic urban infrastructure and management of urban affairs.

10. The implementation of physical works under the past and ongoing projects has been satisfactory. However, the progress in institutional reform, an integral part of all urban projects, has been much slower than originally anticipated. In fact, the slow progress made on institutional reform is a reflection of poor governance and lack of accountability on the side of the participating municipalities in urban management. Good urban governance and effective management are a prerequisite for well-functioning cities. Past experience shows that physical infrastructure improvement cannot be sustained unless the underlying governance problems are

³ ADB. 1990. *Report and Recommendation of the President to the Board of Directors on a Proposed Loan to the People's Republic of Bangladesh for the Secondary Towns Infrastructure Development Project*. Manila; ADB. 1995. *Report and Recommendation of the President to the Board of Directors on a Proposed Loan to the People's Republic of Bangladesh for the Secondary Towns Infrastructure Development Project II*. Manila.

addressed first. For this reason, it was decided to redesign the earlier prepared Third Urban Development Project and adopt a new performance-based approach in which participating municipalities are made accountable for their performance in implementing action-based programs for better urban governance.

2. Promoting Good Urban Governance

11. Urban governance is broadly defined as "the sum of the many ways individuals and institutions, public and private, plan and manage the common affairs of the city."⁴ Two aspects of this broad definition need further elaboration. First, it indicates that urban governance is not just government. Governance as a concept recognizes that decision-making power to improve the affairs of the city exists inside and outside the formal authority and institutions of government. In other words, governance includes the government, private sector, and civil society. The second aspect emphasizes that urban governance is a "process." It is a participatory process through which diverse interests of the city may be accommodated and cooperative action can be taken.

12. Through extensive interviews and consultations with the Pourashavas during the implementation of the PPTA, it became evident that most of the Project towns have a poor record in terms of public participation in urban management. Promoting decentralization of authority and powers to Pourashavas will not produce any desirable result unless there is a commensurate increase in the delegation of powers from the Pourashava chairpersons to elected commissioners and to citizen groups. The key to the gains in efficiency associated with decentralization is the accountability of elected officials, especially the chairpersons, to local residents. Increasing accountability will require more participation of citizens in Pourashava affairs.

13. Overall, there are two outstanding considerations under the Project for improving Pourashava governance: First is a concern for the concentration of authority and powers in the hands of the Pourashava chairperson, which results in poor performance, inefficiency, and lack of accountability, much to the detriment of good governance. The second is a concern for weak capacity of elected commissioners, local public officials, and community groups; this becomes concern for the limited scope for increasing the role of municipal council, and ward and citizens committees in running municipal affairs.

14. To effectively address these main concerns, an Urban Governance Improvement Action Program (UGIAP) has been developed in close consultation with the participating Pourashavas. Overall, the UGIAP comprises five subprograms: three for enhancing the awareness and the participation of local stakeholders in urban planning and management (citizen awareness and participation, women's participation, and integration of the urban poor) and two for improving accountability and transparency (financial accountability and sustainability, and administrative transparency). Under these subprograms, Pourashavas will be asked to form town-level citizens committees, develop participatory municipal development plan, strengthen the role of female ward commissioners, implement poverty reduction action programs, operate microcredit program for the poor women, and increase tax collection.

15. While the ultimate responsibility for urban governance rests with urban local bodies, the role of the Central Government is also important. On the fiscal side, the Central Government directly supports centrally funded municipal projects and has statutory control over different aspects of municipal revenues and expenditures. A central government ministry, Ministry of Local Government, Rural Development and Cooperatives (MLGRDC), is responsible for supervision of municipal affairs, the scope of which includes demanding records, inspection of activities, and revoking illegal orders and decisions of municipal governments. Given the large number of the central government agencies involved in planning, building, and managing urban

⁴ UN-Habitat definition of good urban governance.

infrastructure, the review of the functions and structure of the central government ministries and agencies in urban development is included under the project's accompanying TA. The focus of the review is based on the principle that the role of central government agencies should be more of facilitator or supporter than of doer or implementer for the sake of long-term benefit of the local governments.

III. THE PROPOSED PROJECT

A. Objectives

16. The primary objective of the Project is to promote human development and good urban governance in secondary towns of Bangladesh. To achieve this objective, the Project will assist the selected Pourashavas to (i) enhance accountability in municipal management and strengthen their capabilities in the provision of municipal services; and (ii) develop and expand physical infrastructure and urban services to increase economic opportunities, and to reduce vulnerability to environmental degradation, poverty, and natural hazards. While the Project will benefit the entire urban community in general, some of its components will focus on upgrading the conditions of the poorest and most needy groups in the slum areas in particular. The Project will also promote active participation of women citizens in municipal management and services as both beneficiaries and agents.

17. The Project will use a performance-based sector loan approach. To be included in the Project, municipalities are required to implement the UGIAP. Initially, all participating Pourashavas will be given limited funds to cover the most urgent investment requirements. The continuing participation in the sector Project, however, will depend on the actual progress made with the implementation of the UGIAP. This suggests a significant improvement from a previous approach in which all investment components were predetermined at the time of project appraisal and the participating Pourashavas were left unaccountable for their performance during project implementation. Such a blueprint approach adopted in the past has failed in its commitment to bring about sustainable improvements in urban management because of the basically supply-driven nature of resource allocation. Thus, an alternative approach is employed under the Project, involving demand-driven allocation of loan proceeds, which is based on clearly defined performance criteria and the commitment to undertake governance reform.

B. Sector Loan Approach

18. The Project is formulated as a sector loan based on the Government's sector investment plan for Pourashavas and will support a 6-year time and area slice of the plan, representing 28% of estimated investment during 2003-2009 and covering about 22 Pourashavas. Overall, the Project meets the criteria for adopting a sector lending modality:⁵ (i) there is a strong sector agency, namely LGED, which has successfully implemented a number of urban projects funded by both domestic and external resources; (ii) MLGRDC has adopted a comprehensive Urban Management Policy, which will guide urban development in the country; and (iii) a credible sector investment plan for Pourashavas (as provided in the Government's Annual Development Plan) exists, which has successfully guided sector development so far.

C. Components and Outputs

19. The Project comprises three parts. Part A: Urban Infrastructure Improvement covers the improvement/expansion of the following municipal infrastructure facilities (i) roads and bridges, (ii) storm water drainage, (iii) low-cost sanitation, (iv) solid waste management, (v) municipal

⁵ The sector loan requirements are detailed in Supplementary Appendix B (LGED Operations and Vision), Supplementary Appendix C (Urban Management Policy Statement of MLGRDC), and Supplementary Appendix D (Sector Investment Plan).

facilities (e.g., bus and truck terminals, kitchen markets, and slaughterhouses), and (vi) slum improvement. Under specific circumstances, inclusion of water supply rehabilitation schemes will also be considered.⁶ Part B: Urban Governance Improvement includes implementation of an action program in five key result areas: (i) citizen awareness and participation, (ii) women's participation, (iii) integration of the urban poor, (iv) financial accountability and sustainability, and (v) administrative transparency. In each of these five areas, the Pourashavas will need to achieve well-defined performance targets, which will be closely monitored and evaluated during project implementation. Part C: Capacity Building and Implementation Assistance covers (i) project management, detailed engineering design, construction supervision, nongovernment organization (NGO) support to community-based activities, and facilitation of community mobilization; and (ii) institutional capacity building programs for Pourashavas to successfully implement the UGIAP, including (a) an orientation program for Pourashava chairpersons and ward commissioners, (b) a tailored program for female ward commissioners, (c) training programs for secretaries to implement the community-based activities under the UGIAP, (d) computerization of tax records and billing, (e) computerization of accounting management, (f) infrastructure inventory assessment and mapping, and (g) training for decentralized township planning.

1. Part A: Urban Infrastructure Improvement

20. Funds will be made available to the Pourashavas under Part A: Urban Infrastructure Improvement in three phases that coincide with performance under Part B: Urban Governance Improvement. For the Part A investments, each Pourashava will prepare a subproject comprising a package of urban infrastructure improvements. The following components will be eligible for financing under each subproject.

a. Roads and Bridges

21. The component will include the improvement of the Pourashavas' road networks and traffic circulation, largely through the rehabilitation, repair, and widening of existing roads within the urban core area, traffic management improvements, and procurement of equipment to keep the road system in a good condition.

b. Stormwater Drainage

22. The stormwater drainage improvements are intended to alleviate major inundation from rainfall and reduce waterlogging problems within the core urban area of the Pourashava. The works include (i) elimination of all blockages/obstructions and encroachments on existing drainage paths, (ii) cleaning and rehabilitation of existing drains, (iii) construction of new drains to serve previously unserved areas, and (iv) construction of missing links.

c. Low-Cost Sanitation

23. The sanitation component comprises a program for the provision of double-vault pit latrines and the construction of public toilet blocks. It is proposed to construct a total of about 12,000 household or private double-vault pit latrines, and 84 public toilets.

⁶ Water supply components will consist mainly of rehabilitation of the water supply systems and provision of equipment for operation and maintenance. Given the widespread arsenic contamination of groundwater in the country, the implementation of any tubewell works will be strictly in line with the Government's guidelines and standards for the development of deep tubewells. No shallow tubewell work will be undertaken under the Project due to possible arsenic contamination. If the scope of the water supply work exceeds normal rehabilitation of the system, the implementation of the water supply component may be referred to the Department of Public Health Engineering with LGED as an implementing agency.

d. Solid Waste Management

24. This component will improve collection efficiencies to 70% of household wastes and 95% of other (commercial, institutional, and hospital) wastes within the core urban areas, and ensure improved arrangements for disposal. The component will provide for the procurement of garbage trucks, pushcarts, and communal concrete garbage bins in order to improve the storage and collection of wastes. Landfill sites will be developed to facilitate controlled disposal of the waste.

e. Municipal Facilities

25. To promote economic and commercial development in the towns and encourage public-private partnerships, it is proposed to construct, extend or rehabilitate bus terminals, kitchen markets, and slaughterhouses in the Pourashavas. In a Pourashava where there is an acute need for additional parking facilities for trucks, and where there is very limited land available, it is proposed to construct a truck terminal.

f. Slum Upgrading

26. A component for the provision of services to the urban poor will be implemented in each Pourashava. The component is expected to assist about 18,000 slum families (120,000 slum dwellers) through the improvement of overall living conditions using an integrated approach that includes provision of basic urban services (e.g., access, water supply, drainage, sanitation, and solid waste management), and supporting health and literacy development activities.

2. Part B: Urban Governance Improvement

27. Local level reform will be implemented through the UGIAP. In exchange for receiving financial assistance under the Project, Pourashavas will enter into a subproject agreement with the Government represented by LGED to implement the action program in five key result areas. The implementation of the UGIAP will be in three phases over 6 years. It will take 2 years to complete each phase. The receipt by Pourashavas of funds for subprojects under Part A: Urban Infrastructure Improvement during the second and third phases will depend on performance under Part B.

a. Phase 1

28. All 22 Pourashavas identified under the PPTA will be included in phase 1 and they will sign a subproject agreement with the Government to participate in phase 1. While undertaking the urban infrastructure improvement components for phase 1, the Pourashavas will be required to carry out various reform activities as stipulated in the UGIAP (Appendix 4), with assistance from LGED. The performance of the Pourashavas will be closely monitored by the Government and ADB to determine their eligibility for phase 2 of the Project. The investment ceiling for implementation of the urban infrastructure components in phase 1 is set at around 25-30% of the total investment requirement assessed for each Pourashava during the PPTA. During the field visits under TA. No 3690⁷, high priority investment components for phase 1 (mainly rehabilitation work for roads and drainage systems) were identified and confirmed with the Pourashavas (Appendix 5).

⁷ ADB. 2001. *Technical Assistance to Bangladesh for Urban Governance and Infrastructure Improvement Project*. Manila.

b. Phase 2

29. At the end of phase 1, each Pourashava will be evaluated by the Government and ADB for its performance in achieving targets under the UGIAP. If a Pourashava fails to meet any of the minimum performance targets specified in the UGIAP, it will not be allowed to proceed to the second phase. On the other hand, those Pourashavas that meet the minimum performance targets will be further rated into two groups – fully satisfactory (i.e., meeting all of the criteria for fully satisfactory performance under the UGIAP) and partly satisfactory (i.e., meeting only the minimum requirements). The fully satisfactory Pourashavas will be provided with a bigger budget (up to 40% of the total investment requirement assessed during the PPTA) for phase 2, while the partly satisfactory Pourashavas will be given a lower budget (up to 20% of the total investment required). Phase 2 will also be open to all Pourashavas under categories A and B that are not included under phase 1 and are satisfactory to the Government and ADB. Where a new Pourashava applies to participate in the Project, its application will be evaluated based on separate entry criteria (Appendix 4). The eligible Pourashavas will sign a subproject agreement with LGED to participate in phase 2, covering up to 20% of the total investment demand assessed by the PMO. The total number of Pourashavas covered under the second phase will not exceed 30.

c. Phase 3

30. Finally, the entry into phase 3 will depend on the performance during the second phase. Only those Pourashavas, that maintain a fully satisfactory rating during phase 2 will proceed to the final phase to fully utilize the financial assistance offered through the Project for urban infrastructure improvements components. In this way, Pourashavas that were previously rated as partly satisfactory can enter phase 3 only after their performance has improved to the level of fully satisfactory. No new Pourashava will be admitted in phase 3. The eligible Pourashavas will enter into formal agreements with the Government to participate in phase 3.

31. For the successful implementation of the performance-based approach, the application of performance criteria must be done in a transparent and balanced manner. The final responsibility to decide the ratings (unsatisfactory, partly satisfactory, or fully satisfactory) of the participating Pourashavas will be delegated to the Pourashava Performance Review Committee (PPRC) which will be established within the Local Government Division (LGD) of MLGRDC.⁸ While PPRC will be given the overall responsibility for reviewing the performance of the Pourashavas, technical and secretarial support will be provided by the Urban Management Support Unit of LGED (para. 33). PPRC will consist of the secretary of LGD (as a chair), chief engineer of LGED, director general of LGD, representatives from the Planning Commission and the Economics Relations Division (ERD) of the Ministry of Finance (MOF), a representative from the Implementation Monitoring and Evaluation Division (IMED) of the Planning Ministry, a renowned urban governance specialist nominated by LGD, an ADB representative, and the director of the national Urban Management Support Unit (UMSU) as the member secretary.

3. Part C: Capacity Building and Implementation Assistance

32. The capacity-building and implementation assistance component comprises (i) strengthening of the urban management wing of LGED, and (ii) consulting services for subproject design and supervision and institutional strengthening of the Pourashavas.

⁸ LGD has already established the Municipal Performance Review Committee (MPRC) to review and evaluate the performance of all municipalities in Bangladesh under the World Bank's Municipal Services Project (MSP). The proposed PPRC will be project-based for providing timely evaluation of the performance of the Pourashavas under the Project and will be absorbed under MPRC once the Project is completed.

a. Establishment of the Urban Management Support Unit

33. Recognizing the limitations of the project-based institutional strengthening approach adopted under STIDP I and II, the Project will support the 10 regional offices of LGED (including the national office in Dhaka) to provide sustained capacity-building programs to all Pourashavas within their respective regional boundaries. Past experience indicates that the centrally located Pourashava Support Unit is restricted in reaching out to the Pourashavas and providing sustained support. For this purpose, a new wing for urban management has been recently established in LGED to facilitate the development of targeted capacity-building programs for all urban local bodies and to coordinate regional training activities across the country. In addition, to best utilize the available resources for capacity building, the existing Pourashava Support Unit (ADB-sponsored) will be merged with the Municipal Support Unit (World Bank-sponsored), and both will be absorbed under the single umbrella of UMSU. Given the limited resources, however, only the larger Pourashavas (category A and larger category B)⁹ will be initially covered to receive training for their elected officials as well as their key staff.

b. Institutional Strengthening of Pourashavas

34. Once established, UMSU will provide comprehensive training opportunities to help Pourashavas mobilize additional financial resources and improve revenue collection and financial management. Specific training programs to be provided by UMSU include (i) an orientation program for Pourashava chairpersons and ward commissioners, (ii) a tailored program for female ward commissioners, (iii) training programs for secretaries to implement the community-based activities under the UGIAP, (iv) computerization of tax records and billing, (v) computerization of accounting management, (vi) infrastructure inventory assessment and mapping, and (vii) training for decentralized township planning.

c. Implementation Assistance for Project Pourashavas

35. Project implementation assistance includes (i) project management and implementation support, detailed engineering design, procurement, disbursement, construction supervision, budgeting, reporting, and overall project performance monitoring; (ii) support to subproject preparation and appraisal; and (iii) NGO support to community-based activities for urban poverty reduction.

D. Cost Estimates

36. In accordance with the sector loan approach, most of the investment will be decided on attainment of performance criteria by the Pourashavas during project implementation. The project cost presented in Table 1 is based on the provisions made in the previous feasibility study in the Third Urban Development Project as well as the discussions held with Pourashavas during the field visits. The total cost of the Project is estimated at \$87.0 million equivalent, including about \$5.9 million equivalent for duties and taxes. The foreign exchange cost is estimated at \$21.5 million, or about 25% of the total project cost, including \$1.7 million for interest on the ADB loan during construction. The local currency cost is estimated at \$65.5 million equivalent, or about 75% of the total project cost. Detailed project cost estimates are provided in Appendix 6.

⁹ Based on the Government's classification.

Table 1: Cost Estimates
(\$ Million)

Component^a	Foreign Exchange	Local Currency	Total Cost
Part A: Urban Infrastructure Improvement	17.6	47.1	64.7
Part B: Urban Governance Improvement	0.4	4.5	4.9
Part C: Capacity Building and Implementation Assistance	1.8	11.3	13.1
Interest During Construction	1.7	2.6	4.3
Total	21.5	65.5	87.0

^a Includes taxes and duties.

Source: Asian Development Bank estimates.

E. Financing Plan

37. The Government has requested a loan in the amount of SDR 45,461,000 (\$60 million equivalent) from ADB's Special Funds resources, which will represent about 69% of the total Project cost. The loan will cover the entire foreign exchange costs including the interest on the ADB loan and part of the local currency costs, excluding taxes and duties. A domestic contribution of \$27 million equivalent is required which will include \$22.8 million equivalent from the Government, \$3.9 million equivalent from the Pourashavas, and \$0.3 million equivalent from the project beneficiaries. The Borrower will be the People's Republic of Bangladesh. ADB's financing of local currency expenditure is justified by the nature of the Project, which will improve the living and health conditions of the people in the project areas by improving existing unsanitary conditions, decongesting traffic and preventing damage to property and disruption of lives caused by flooding. The proposed financing plan for the Project is shown in Table 2.

Table 2: Financing Plan
(\$ Million)

Source	Foreign Exchange	Local Currency	Total Cost	Percent
Asian Development Bank (ADB)	21.5	38.5	60.0	69.0
Government	0.0	22.8	22.8	26.1
Pourashavas	0.0	3.9	3.9	4.5
Beneficiaries	0.0	0.3	0.3	0.4
Total	21.5	65.5	87.0	100.0

Source: Asian Development Bank estimates.

38. The ADB loan together with the Government contribution, will be provided to the Executing Agency to finance the Project. The loan will have a 32-year term, including a grace period of 8 years, an interest rate of 1% per annum during the grace period and 1.5% per annum thereafter, and such other terms and conditions as set forth in the Loan Agreement. The loan proceeds for part A will be provided to the Pourashavas in a blend of grant funds and loans, the latter for investment in revenue generating or direct cost recovery works pursuant to subsidiary loan agreements. The subsidiary loans will be provided to the Pourashavas at an on-lending rate of 7% per annum for a period of 20 years, including a 5-year grace period. The Government will be responsible for the repayment of the ADB loan and will bear the foreign exchange risk.

F. Implementation Arrangements

1. Project Management

a. Arrangements at the Central Level

39. The Executing Agency of the Project will be LGED, under the overall supervision of LGD of MLGRDC. An interministerial steering committee chaired by the secretary of LGD will be established to oversee the Project, and will consist of senior-level representatives from LGD, LGED, the Planning Commission, ERD, the Finance Division of MOF, IMED, the National Institute for Local Government, the Department of Public Health Engineering, the Ministry of Women and Children Affairs, and representatives of the Pourashavas. The steering committee will be established and will hold its first meeting within 3 months of the effectiveness date of the Project. The steering committee will meet at least once every 6 months to review the progress of the Project and guide the future direction. LGED will set up a project management office (PMO), led by a full-time project director (PD) at the level of a superintending engineer. The PD of the Project will be charged exclusively with its execution and will have no other duties within the urban management wing of LGED. The PD, supported by the PMO, will coordinate all activities under the Project; will be directly responsible for overall project implementation, monitoring, and supervision under the guidance of the director of the urban management wing of LGED (at the rank of additional chief engineer or superintending engineer); and will report to chief engineer. Overall implementation arrangements are in Appendix 7.

40. The PMO will (i) prepare the overall Project implementation plan and consolidated annual work plan, (ii) assist Pourashavas in implementing the UGIAP, (iii) assist eligible Pourashavas in preparing feasibility studies and subproject appraisal reports, (iv) monitor and supervise all project management activities, (v) organize monitoring and evaluation activities, (vi) ensure the satisfactory implementation of the gender action plan and other activities under the summary poverty reduction and social strategy; and (vii) prepare necessary progress reports and the project completion report. The PD will be supported by two deputy project directors (DPDs), one for (i) technical, engineering, and supervision; and one for (ii) environment, sanitation, and slum improvement (ESSI). The PMO will be properly staffed and assisted by consultants with expertise in engineering, finance and accounting, social and gender development, and urban management. In particular, the staffing requirements will reflect the need to accommodate the tasks related to urban governance, and to social and gender development.¹⁰

b. Arrangements at the Pourashava Level

41. In each participating Pourashava, a project implementation unit (PIU) will be established as soon as the Pourashava enters into a subproject agreement with LGED. The PIU will be headed by the Pourashava chairperson and will comprise three sections: (i) infrastructure improvement section; (ii) ESSI section; and (iii) urban governance improvement section. The chairperson will be assisted by the Pourashava chief executive officer for day-to-day operations of the subproject. The PIU will be located within the Pourashava office and will be responsible for (i) preparation of an annual development program for the respective Pourashava; (ii) preparation of subproject component proposals; (iii) tendering of works and services; (iv) implementation of construction works; (v) implementation of the gender action plan (GAP), the UGIAP, and a resettlement plan in accordance with the land acquisition and resettlement framework, if required; and (vi) accounting for expenditures. Training of PIU staff will be organized at the beginning of the Project for civil works, slum improvement, sanitation, and regular administrative responsibilities.

¹⁰ Details of PMO and PIU staffing are provided in Supplementary Appendix E.

42. The infrastructure improvement section, responsible for the implementation of all physical infrastructure works, will be led by the head of the engineering department of the concerned Pourashava. The ESSI section will undertake all environmental and slum improvement activities and will be headed by the health officer of the Pourashava. Additional technical staff will be deputed from LGED to support the municipal engineer and the health officer. The number of the LGED technical staff deputed to PIU (at the level of sub-assistant engineer and work assistant) will depend on the size of the Pourashava and the workload of the subproject. In this way, a maximum transfer of skills and technology will be achieved and capability further improved. For close supervision of all physical works including environmental activities, the regional superintending engineer of LGED will be empowered to carry out regular supervision, monitoring, and reporting on all project implementation activities to the PMO and director in charge of the urban management wing. For this purpose, the offices of the regional LGED superintending engineer will be strengthened by two additional staff (one assistant engineer and one sub-assistant engineer). The quality of construction materials will be ensured with the help of LGED's district laboratory (or other qualified institution).

43. The urban governance improvement section, headed by the secretary of the Pourashava, will be responsible for the implementation of the UGIAP. For successful implementation, it is important to have an accurate assessment of the training requirements at the beginning of the Project and to provide Pourashava officials, staff, and other stakeholders with the timely training opportunities at the municipal, regional, and national levels. A group of facilitators (as individual consultants) will be engaged to provide the necessary technical support and hands-on training at the local level. In addition, the PMO will make necessary provisions to meet the budget requirements of the Pourashavas in supporting the activities under the UGIAP.

44. Each PIU will have an accounting section, directly under the Pourashava chairperson, to deal with the procedural aspects and the recording of the financial transactions and preparation of liquidation statements and replenishment requests to the PMO. To assist the accounting section to meet additional workload, one accounting assistant will be deputed from LGED.

c. Establishment of National and Regional UMSUs

45. The national UMSU in Dhaka will be headed by a full-time director at the level of additional chief engineer or superintending engineer, assisted by three deputy directors, one each for (i) governance program development (GPD), (ii) general administration and training coordination, and (iii) database development and performance evaluation and monitoring (PEM). The GPD section will be responsible for developing tailor-made capacity-building programs related to the implementation of the UGIAP. The GPD will also develop orientation programs on the objectives, approach, and entry requirements of the Project and arrange training of trainers. The general administration and training coordination section will be responsible for general administration (including the budget and staffing requirements of the UMSU) and will also assume responsibility for coordinating training programs and modules to be conducted by the 10 regional UMSUs. The regional UMSUs will be established at the offices of the regional superintending engineer. Incremental staff and operational budget will be provided to the regional offices of LGED to organize and conduct training for the Pourashavas within their respective jurisdictions. Finally, the PEM section will be responsible for monitoring and evaluation of the performance of the Pourashavas in achieving the targets in the UGIAP. In this connection, the PEM will also serve as the secretariat for the PPRC. Further, the PEM will prepare an annual ranking of the performance of all Pourashavas in Bangladesh and disseminate the results to the general public through national media, its own publications, and a web site. For this purpose, the PEM will set up and maintain a database for municipal performance and design a scoring system for performance measurement.

2. Subproject Appraisal

a. Phase-1 Pourashavas

46. The participating Pourashavas will be responsible for the preparation of a vision paper outlining their needs and the development assistance required. In principle, these needs should be based on a strategic development vision, including a draft land use plan (prepared in a participatory manner). Although all 22 towns under phase 1 have already identified high priority investment components, the requirement for the preparation of aforesaid overall vision remains, since it provides the wider context of the envisaged developments. This activity should be undertaken as early as possible in time for the preparation of the subproject appraisal report (SPAR).

47. After completing the vision paper, each Pourashava, with the assistance of the PMO and the design consultants, will then prepare the SPAR for ADB's review and approval. A SPAR will be prepared for each phase describing (i) the visions for municipal development and a declared commitment to carry out the UGIAP; (ii) the subproject need, rationale, scope, target beneficiaries and benefits, potential constraints, and mitigation measures; (iii) subproject component locations, design standards, analysis of least-cost options, cost estimates, implementation arrangements and schedule, and procurement arrangements; (iv) environmental and social assessment (including a resettlement plan and/or indigenous peoples plan, if required under the applicable laws and regulations and ADB's policies and guidelines); (v) financial and economic justification of the subproject and its components; (vi) financing plan, together with financial sustainability analysis; and (vii) an implementation plan for the UGIAP showing how the Pourashava will achieve the performance targets under the Program. The selection of the subproject components will be based on the criteria specified in Appendix 8.

48. Following ADB's approval, each Pourashava and the PMO will prepare a subproject agreement to be signed by the Pourashava chairperson and the chief engineer of LGED. A subsidiary loan agreement will also be signed by the Pourashava chairperson and MOF, if the subproject involves relending of loan proceeds from the Government to the Pourashava. No funds will be provided to a Pourashava under any phase until the subproject agreement and subsidiary loan agreement (if required), both satisfactory to ADB, have been executed. These documents will describe any conditions and covenants that must be satisfied by the Pourashava before and during subproject implementation, including the loan repayment schedule. Subject to ADB approval of these two documents, implementation will proceed under the PMO/PIU framework.

b. New Pourashavas

49. Where a new Pourashava applies for participation in phase 2, a team from the UMSU's PEM section will visit it to assess the situation and provide guidance on the selection procedure. Following the visit, the Pourashava will prepare a vision paper, which will provide detailed information on the development assistance required and its qualification to meet the entry criteria. The request will be submitted to the PPRC through the PEM section of UMSU for its review and decision. After approval by the PPRC, the PMO will then proceed with the preparation of the SPAR for phase 2 of the Project. With the approval of the SPAR by ADB (as described in para. 47), the Pourashava will follow the same procedure as described in para. 48 for further processing of the subproject.

3. Implementation Period and Start-Up Activities

50. Based on the experience of STIDP I and II, and in view of the of the sector modality of the current Project and the large number and geographical spread of participating Pourashavas, the Project will be implemented over a period of 6 years. Implementation is expected to

commence in the third quarter of 2003. Start-up activities will include the establishment of the national and regional UMSUs, recruitment of project staff and consultants, preparation of the SPARs for the phase 1 work program, and procurement of immediately required equipment. Physical works may not start before the fourth quarter of 2003 due to the need to undertake extensive surveys, prepare the SPARS for approval, and prepare detailed engineering designs and contract documents. Since the Project is divided into three phases, the implementation schedule is also built around these three phases (Appendix 9).

4. Procurement

51. Procurement will generally be carried out by the PIUs under the guidance of the PMO with the assistance of the LGED district level staff as necessary. All procurement of goods and services financed by ADB will be in accordance with ADB's *Guidelines for Procurement*. Since the contracts for civil works will be small and widely dispersed, international competitive bidding is not considered appropriate. Consequently, all the civil works contracts will be procured on the basis of local competitive bidding among prequalified contractors in accordance with the Government's procurement procedures acceptable to ADB. Pre-qualification, selection, and engagement of contractors under local competitive bidding will be subject to the approval of ADB. To ensure economy and efficiency in contract administration, small contracts for roads and drainage improvement works at various construction sites will be grouped together to obtain a higher contract value. There will be one contract each for bus terminals, markets, and major road or drainage improvement works. Efforts will be made to limit the number of contracts and engage larger professional contractors. This approach will minimize the construction period and ensure single accountability for the quality of work. Civil works contracts below the statement of expenditures (SOE) limit of \$50,000 will be permitted on a case-by-case basis. NGOs may be engaged for the purpose of coordination between the PIU and beneficiaries. Based on the lessons from STIDP II, NGOs will not be engaged in civil works, and hardware delivery and they will focus mainly on community participation and provision of microcredit.

52. Each supply contract for equipment or materials estimated to cost the equivalent of more than \$500,000 will be awarded on the basis of international competitive bidding, and those costing the equivalent of \$500,000 or less (other than minor items) but more than \$100,000 will be awarded on the basis of international shopping. Indicative procurement packages indicate that individual contract packages under the Project will be less than \$500,000 in value, in which case international shopping procedures will be followed. Direct purchase procedures will be used for small or off-the-shelf items valued at less than \$100,000. Procurement of equipment will be done by the PMO. Indicative procurement packages are included in Appendix 10.

5. Consulting Services

53. Consulting services are required to facilitate project implementation and to strengthen the institutional, administrative, and financial capacities of the Pourashavas. Consultants will be selected and engaged in accordance with ADB's *Guidelines on the Use of Consultants* and other arrangements satisfactory to ADB on the selection and engagement of domestic consultants.¹¹ In total, five packages of consulting services will be provided under the Project: two for the UMSU and three for the PMO. For implementation of the UGIAP, a firm will be engaged to the GPD section of the UMSU for developing and testing the training programs and for training LGED staff and others on the delivery of the training programs. To assist the PEM section of the UMSU, individual consultants will be recruited to carry out project-specific as well as broad-based monitoring and evaluation of the performance of the Pourashavas. In particular, the consultants will closely monitor the progress in achieving the targets in the UGIAP and report to the PPRC for its consideration and decision. The PEM consultants will also develop a

¹¹ Effective 1 April 2002, the selection of consultants will include the use of the quality-and-cost-based selection method, which involves the simultaneous submission of technical and financial proposals and the use of price as an evaluation criteria.

nationwide database for continuous monitoring and comparison of the performance of all Pourashavas in the country.

54. For engineering management, design and construction supervision, a consulting firm will be engaged to assist the PMO and PIUs in preparing surveys, detailed engineering designs, contract documentation, tender, and supervision works. For monitoring and evaluation, individual consultants will be engaged, while the facilitators (as individual consultants) will be assigned to assist the Pourashavas in forming citizens committees, preparing and implementing UGIAP, mobilizing community participation, and so forth. Further, NGOs will be engaged to facilitate community mobilization for improving living conditions of slum dwellers, provision of microcredit for income-generating activities, and social programs (e.g., on literacy training, poverty reduction). These NGOs will be selected following criteria as developed under the Project.¹² Details for the required consultancy services are provided in Appendix 11.

6. Financing Low-Cost Sanitation and Microcredit Activities

55. For the low-cost sanitation component, beneficiaries will take out loans from a revolving fund to be set up by the Pourashavas in a manner satisfactory to ADB; this will be repaid twice a month over a 10-month period at an annual interest rate of 10%. For the slum dwellers, the slum development committee organized under the Project will receive a grant for 50% of the cost of the household toilets in the community, with the remaining 50% to be mobilized by the beneficiaries. Experienced NGOs will be engaged to mobilize the community and administer the revolving fund. Part B of the Project includes the provision of a grant fund for microcredit to the Pourashavas. Selected NGOs will be engaged to operate the microcredit activities aimed to support the income-generating activities of poor and low-income women entrepreneurs in the participating Pourashavas. On an experimental basis, microcredit operations may include support to urban youth, which will be reviewed during the midterm review. Based on the detailed business proposals, an individual can receive a loan within a range from Tk2,500 to Tk15,000 and a group of four members up to Tk60,000 depending on the type of the business. An annual interest rate of 15% will be charged to the borrower by the implementing NGO. The loan together with the interest, will be repaid over a period of 1 year in equal installments (twice a month). Collection will start 1 month after disbursement. Of the 15% collected as interest, one third will be retained with the implementing NGO for operation of the fund, and the remaining two thirds will be added to the revolving fund. The PMO will develop guidelines for the management and operation of the microcredit component under the Project.

7. Land Acquisition, Resettlement, and Indigenous Peoples

56. Land acquisition problems have frequently been a major source of delays in previous urban projects in Bangladesh. Consequently, under the Project, the land acquisition requirements have been minimized. The process of site selection will also be improved through the use of site selection guidelines developed under STIDP II. In addition, committees will be formed at the Pourashava level immediately upon entry into the Project to undertake rapid selection and evaluation of potential land sites. To minimize implementation delays due to land acquisition, each Pourashava will be required to complete the preparatory work for land acquisition prior to its submission of a SPAR. Actual land acquisition must be completed within 180 days from the signing of the subproject agreement; otherwise, the component will be removed from the SPAR. Should any involuntary resettlement be required for a subproject component or loss of assets/income be expected during project implementation, the SPAR will include a resettlement plan, in accordance with ADB's *Policy on Involuntary Resettlement* and the Project's land acquisition and resettlement framework.¹³ The Project design also includes an indigenous peoples framework¹⁴ to ensure that project benefits are equally shared between

¹² The selection criteria for NGO engagement are provided in Supplementary Appendix F.

¹³ The Land Acquisition and Resettlement Framework is included in Supplementary Appendix G and the Sample Resettlement Plan in Supplementary Appendix H.

¹⁴ The Indigenous Peoples Framework is provided in Supplementary Appendix I.

indigenous people and the Bengali settlers in Bandarban and Khagrachari in the Chitagong Hill Tracts.

8. Operation and Maintenance

57. The Pourashavas will be responsible for operating and maintaining the subproject investments. The operation and maintenance (O&M) manuals prepared under STIDP II will be revised for use by the PIUs. These manuals will describe the O&M procedures for municipal infrastructure, services, and facilities and will be designed for regular use by Pourashava engineering staff. The PMO consultants will provide specific training to all relevant staff of the Pourashava in O&M of infrastructure facilities. One of the tasks of the institutional strengthening consultants on O&M will be to define for each Pourashava the O&M requirements and obtain a realistic assessment of the costs involved. These consultants will use the manuals and on-the-job training to ensure that the staff in the Pourashava are made familiar with the O&M responsibilities and requirements. The incremental O&M costs during the implementation period are not included in the Project cost, but the UGIAP requires the participating Pourashavas to set aside at least 15% equivalent of the annual development budget to cover O&M expenditures each year.

9. Disbursement Arrangements

58. The civil works contracts to be awarded will generally be small in value and involve a large number of contractors. To ensure effective Project implementation and timely disbursement, the Government will establish an imprest account in the name of the Project at the Bangladesh Bank immediately after the effectiveness of the Loan Agreement. Payments for civil works contracts will be made through this account for eligible payments under the Project. Similarly, payments for incremental administrative costs of the UMSU, PMO, and PIUs will also be made through the imprest account. The SOE procedure will be adopted to facilitate reimbursement and liquidation of small contracts. The imprest account and the SOE procedure will be established, maintained, and audited in accordance with ADB's *Loan Disbursement Handbook* of January 2001. The initial advance to the imprest account will correspond to 6 months of estimated ADB-financed expenditures to be paid from this account. The SOE procedure is applicable only to individual payments below \$50,000 equivalent.

10. Accounts, Auditing, and Reporting

59. The Government will provide ADB with quarterly progress reports on project implementation. Reports will be prepared by each PIU and consolidated by the PMO. The PMO will particularly address progress in meeting the targets under the UGIAP. The progress reports will also include other information on the physical progress of works and the status of training and support program by the UMSUs. LGED/PMO will also submit to ADB, within 3 months of physical completion of the Project, a project completion report that will cover the details of project implementation, cost, monitoring and evaluation activities, and other information requested by ADB.

60. LGED/PMO and the PIUs will maintain accounts and records in such a manner as to facilitate identification of income and expenditures related to the Project. They will be assisted by an adequate number of suitably qualified accounting staff, including a financial manager in the PMO. Additionally, the PMO and PIUs will be assisted by a financial consultant in establishing the Project accounting and recording systems, and in training the staff to maintain the systems. Auditors acceptable to ADB will audit all the accounts and statements of expenditures and revenues related to the Project annually. Audited financial statements and project accounts, together with the report of the auditor, will be submitted within 9 months of the close of the financial year. The annual audit will include the audit of the imprest account and SOE procedure, and a separate audit opinion on the use of the imprest account and SOE procedure should be included in the annual audit report. LGED and the Pourashavas have been

made aware of ADB's policy on delayed submission, and the requirement for satisfactory and acceptable quality of the audited accounts.

11. Project Performance Monitoring and Evaluation

61. To ensure that project activities and facilities are managed efficiently and that the benefits reach the target groups, a monitoring and evaluation program is included within the framework of ADB's Project Performance Management System (PPMS). PPMS activities will be conducted periodically to gather information from multiple sources to determine whether the input deliveries for implementing project activities have rendered expected benefits to the intended beneficiaries. The PPMS also seeks to detect any deficiency and discrepancy between the plan and the execution of the project in using the resources efficiently so that timely corrections can be made to update the project and thus improve the benefits, outcomes, and impact. The indicators to be monitored have been formulated and agreed upon with the Executing Agency, including indicators pertaining to both physical progress and capacity-building activities.¹⁵ The PMO will conduct initial baseline physical and socioeconomic surveys and submit a detailed implementation plan for monitoring performance and for preparing benchmark information for ADB's review and concurrence within 6 months of loan effectiveness. Thereafter, the PMO will submit annual monitoring and evaluation reports to ADB throughout the project implementation.

12. Project Review

62. Because of the large number of Pourashavas and components to be covered under the Project, the regular reviews to be conducted by ADB at least two times a year will be supplemented by a formal midterm review, to be carried out jointly by the Government and ADB. The routine project reviews will include a review of the Pourashavas' financial performance and staffing, the implementation of the UGIAP and the GAP, physical progress on project implementation, and capacity-building activities. The midterm review will allow the Government and ADB to monitor the Project closely and to make appropriate adjustments in the Project design and implementation arrangements, if necessary. The midterm review will be conducted at the end of phase 1 or in the middle of the project implementation period.

IV. TECHNICAL ASSISTANCE FOR SUPPORTING URBAN GOVERNANCE REFORM

A. Objectives and Scope

63. The accompanying TA will provide necessary technical and secretarial support to the Committee on Urban Local Governments (CULG), which will be established with the assistance from the TA and will cover the following key policy areas which were identified during the policy dialogue with the Government: (i) in consultation with various stakeholders in the urban sector, to prepare the National Urban Sector Policy for cabinet approval, containing recommendations, among others, on the approach to be followed in the process and pattern of urbanization in Bangladesh; (ii) to review the existing holding tax system in the country and suggest reforms for improving the collection of holding taxes from public and private sector entities as well as solving the problem of recurrent arrears of such taxes; (iii) to make recommendations for the amendment of the 1977 Pourashava Ordinance to reflect the needs for improved local governance and better urban management; and (iv) to review the Government's long-term strategy for municipal development (covering upazila towns and Pourashavas) and make recommendations for preparing a master plan for future development of these key urban centers. Appendix 12 provides the terms of reference for CULG under the TA.

¹⁵ Details of these indicators are provided in Supplementary Appendix J.

B. Cost Estimates and Financing Plan

64. The total cost of the TA is estimated at \$520,000 equivalent. The Government has requested ADB to finance \$400,000 equivalent, covering all the foreign exchange costs (\$85,000) and part of the local costs. ADB will finance \$400,000 equivalent, on a grant basis, from ADB's TA funding program. The proposed Government in-kind contribution of \$120,000 equivalent will cover office costs, conference venues, and counterpart staff remuneration.

C. Implementation Arrangements

65. LGD will be the Executing Agency for the TA, and a joint secretary of LGD will head the secretariat to assist CULG; other members of the secretariat will be provided by LGD and LGED and the secretariat will be established at LGED. The secretariat will also be assisted by a group of individual consultants with expertise in urban policy, planning, law, and local government finance. The TA is expected to commence as soon as the Project is approved by ADB's Board and to be completed in 2 years.

66. CULG will convene meetings at least six times during its 2-year tenure. The chairperson may call additional meetings as necessary. CULG, with assistance of the secretariat, will hold discussions (at the national, regional, and local levels) with political leaders, policy makers, and local stakeholders as well as the local aid community in the urban sector; review the recommendations of similar commissions/committees; review relevant documents, acts, ordinances; and carry out studies on key issues of urban local governance.

V. PROJECT BENEFITS, IMPACTS, AND RISKS

A. Major Benefits and Impacts

1. Gender and Social

67. The gender and social assessments under the Project (the Summary Poverty Reduction and Social Strategy is found in Appendix 13) have resulted in the preparation of (i) the GAP to address the need for active participation of women in urban planning and management as both beneficiaries and agents, (ii) the resettlement framework for the population that may be displaced or suffer loss of assets and/or income as a result of project implementation, and (iii) the indigenous peoples framework to ensure their full participation in the Project and to address potential risks to them. These frameworks provide guidelines to assess the gender and social impact of all subprojects, and any subproject not meeting these standards will not be eligible for financing.

2. Economic and Financial

68. The Project will generally benefit the whole of the urban community, and some components will focus on upgrading the conditions of the poorest and most needy groups in the slum areas. The investments will result in substantial direct and indirect benefits, including improved urban environment, better health, and higher employment and income generation potential for the residents. Components for the first phase (roads and drainage rehabilitation) were evaluated by cost-benefit analysis as summarized in Appendix 14. Subprojects for which economic analysis was carried out yielded an average rate of return of 34.0% for the drainage component and 30.6% for the road component. Overall, phase 1 investments are economically viable, and sensitivity analyses show that the returns are robust. Financial analysis was carried out for the only revenue-generating component, namely, the water supply scheme in Lakshmipur. The rate of return was estimated at 10.7%, which is above the weighted average cost of capital, estimated at 7.0%. For the second and third phase investments, the economic and financial analyses will be reported in the SPARs for review by ADB. In general, however, it

is expected that most municipal subprojects to be financed under the Project will have high economic rates of return due to the severe deficiencies in most Pourashavas.

3. Fiscal

69. The financial burden of the Project on local government finances will not be significant. As most funding will be made available as grants to the Pourashavas, the debt service impact on local governments will be small. On the other hand, implementation of the Project will create employment opportunities, increase urban productivity, improve the management of municipal finances, mobilize more revenue, and rationalize municipal spending. The net fiscal impact of these improvements is expected to substantially outweigh project investments.

4. Environmental

70. The Project has been assigned environmental assessment category B. Overall, it is anticipated to have positive environmental impacts in reducing incidences of various diseases, improving environmental conditions in urban areas, and reducing flooding. The negative impacts will mostly relate to construction activities, which will be temporary, during construction only. Other potential negative impacts, such as groundwater contamination from sanitary landfills and disposal of sludge from latrines, can be addressed by applying proper environmental and sanitary engineering technologies during the design, construction, and operation stages. For evaluation purposes, sample initial environmental examinations (IEEs) have been conducted for subprojects with the highest potential environmental impacts in accordance with environmental requirements and ADB's guidelines for infrastructure projects.¹⁶

71. For subprojects that are still to be confirmed, the IEE will be prepared in accordance with ADB's guidelines for infrastructure projects. For construction, compliance with government environmental requirements as certified by the relevant government authorities will be sufficient for typical subproject components costing less than \$1 million.¹⁷ For subproject components costing between \$1 million and \$3 million, ADB will review and approve the IEEs on a "no objection" basis. For subproject components costing more than \$3 million, ADB will review IEEs prior to the start of construction.

5. Technical

72. The majority of works under the Project are relatively small. These schemes were identified based on the needs and priorities of the Pourashavas in consultation with the communities. The works under the Project do not require complex design or construction techniques, and are within the technical capabilities of the Pourashavas. LGED will provide additional technical support as considered necessary and will supervise the quality of the works of the Pourashavas. Engineering designs for the phase 1 works have been reviewed by the PPTA consultants. Design and supervision consultants will further review the designs to assure technical quality and timeliness.

B. Major Risks

73. The overall framework of the Project (Appendix 1) summarizes its objectives, indicators to be used to measure achievements, and assumptions that must be satisfied to avoid the risk of noncompliance. While no unusual risks are foreseen during implementation, the potential risks concern (i) delays in implementation due to slow progress with start-up activities; (ii) lack of suitably qualified personnel in the Pourashavas, which may eventually lead to weak

¹⁶ The summary IEE is provided in Supplementary Appendix K.

¹⁷ ADB provided a TA to the Government to review and evaluate environmental impact assessments: ADB. 1991. *Technical Assistance to Bangladesh for Environmental Management Training*. Manila.

implementation of subprojects at the Pourashava level; and (iii) sustainability of the facilities and services provided under the Project.

74. Implementation delay can be prevented to a large extent by timely mobilization of consultants. Advance action is required to ensure that the implementation schedule can be adhered to. Second, the Government will ensure that qualified staff nominated for the UMSU and PMO will be available at the commencement of the Project. The activities under the UGIAP cannot be undertaken if the key positions are left unfilled. Finally, the sustainability of Project will depend on the ability of the Pourashavas to generate sufficient revenues from their own sources. With the training and added incentives under the Project for better financial performance, the risk to sustainability of the investments in infrastructure can be minimized.

VI. ASSURANCES

A. Specific Assurances

75. In addition to the standard assurances, the Government has given the following assurances, which are incorporated in the legal documents:

- (i) The Government will cause each Pourashava, with assistance from the PMO and the consultants, to submit its SPAR in a timely manner prior to each phase, for approval by ADB. The SPAR for each phase will describe the technical, financial, and economic viability of the subproject and its components as well as social and environmental issues and sustainability. The SPARs will include summary IEEs and resettlement plans, if required under applicable laws and regulations and ADB's environmental guidelines and *Policy on Involuntary Resettlement*.
- (ii) The Government will cause each participating Pourashava to enter into a subproject agreement with LGED satisfactory to ADB, following the approval of the SPAR for each phase by ADB. The subproject agreement will describe any conditions and covenants that must be satisfied by the Pourashava before and during subproject implementation, including actions under the UGIAP. If the subproject involves relending of loan proceeds from the Government to the Pourashava, a subsidiary loan agreement satisfactory to ADB will also be signed by the Pourashava chairperson and MOF. Subject to ADB approval, implementation will proceed under the framework developed by the PMO/PIU.
- (iii) The Government will cause the interministerial steering committee to be established and the first meeting be held within 3 months of loan effectiveness.
- (iv) The Government will cause LGED to adopt and fully carry out the GAP during the project implementation period. To this end, the Government will require the PMO to prepare field manuals for the GAP and conduct training for the PMO and PIU staff. The implementation of the GAP will be closely monitored and the progress will be reported in the quarterly reports to the ADB.
- (v) The Government will require each Pourashava to complete the preparatory work for land acquisition prior to its submission of a SPAR for each phase. Actual land acquisition must be completed within 180 days from the signing of the subproject agreement for each phase; otherwise, the component will be removed from the SPAR. If any involuntary resettlement of residents is required for land acquisition, a resettlement plan will be prepared in accordance with applicable laws and regulations, ADB's *Policy on Involuntary Resettlement*, and the Project's land acquisition and resettlement framework.

- (vi) The Government will cause LGED to conduct initial baseline physical and socioeconomic surveys and submit a detailed implementation plan for monitoring performance and for preparing benchmark information for ADB's review and concurrence within 6 months of loan effectiveness.
- (vii) The Government will cause MLGRDC to establish CULG to guide its long-term strategy for municipal development, including preparing the draft National Urban Sector Policy, recommending reforms for the collection of holding taxes, and recommending amendments to the 1977 Pourashava Ordinance to reflect the need for improved and better urban management. The Government will cause CULG to complete its responsibilities as described in its terms of reference within 2 years from the approval by ADB of the associated TA for Supporting Urban Governance Reform. MLGRDC will ensure that the recommendations of CULG are submitted for cabinet approval.
- (viii) The Government will cause MLGRDC to set up PPRC within LGD by 31 December 2003. PPRC will require technical and secretarial support from the UMSU, through its PEM, including the collection of relevant information and the preparation of the draft performance evaluation report. PPRC will consist of the secretary of LGD (as chairperson), chief engineer of LGED, director general of LGD, representatives from the Planning Commission and ERD of MOF, a representative from IMED, a renowned urban governance specialist nominated by LGD, an ADB representative and the director of the UMSU as member secretary.
- (ix) The Government will require the Pourashavas in the Chittagong Hill Tracts to implement the indigenous peoples framework prepared under the Project.

B. Conditions for Loan Effectiveness

76. The following will be special conditions for loan effectiveness:

- (i) The project proforma (for the Loan and the accompanying TA) will have been approved by the Government.
- (ii) A 5-year work plan for the UMSU acceptable to ADB will have been submitted to ADB.

VII. RECOMMENDATION

77. I am satisfied that the proposed loan would comply with the Articles of Agreement of ADB and acting in the absence of the President, under the provisions of Articles 35.1 of the Articles of Agreement of ADB, I recommend that the Board approve the loan in various currencies equivalent to Special Drawing Rights 45,461,000 to the People's Republic of Bangladesh for the Urban Governance and Infrastructure Improvement (Sector) Project from ADB's Special Funds resources with an interest charge at the rate of 1% per annum during the grace period and 1.5% per annum thereafter; a term of 32 years, including a grace period of 8 years; and such other terms and conditions as are substantially in accordance with those set forth in the draft Loan Agreement presented to the Board.

Myoung-Ho Shin
Vice-President

31 October 2002

PROJECT FRAMEWORK

Narrative Summary	Indicators and Targets	Monitoring Mechanisms	Key Assumptions
1. Goal 1.1 Promote human development and good urban governance in secondary towns and support them to lead a sound and balanced urban development.	• Faster and sustained economic growth • Reduction of urban poverty • Slow down of migration to megacities • Improved urban environmental conditions • Enhanced human development opportunities	• National statistics • BBS reports (Government) • PEM reports (UMSU) • Monitoring and evaluation reports (PMO) • ADB mission reports • PCR • Specifics surveys	• <i>Vision</i>: Government has a broad and long-term perspective on good urban governance and human development • <i>Decentralization</i>: Government will continue to implement decentralization and devolution of authority and resources to local governments • <i>Democratic Participation</i>: Each city will be governed with active participation of elected representatives and stakeholders.
2. Objectives 2.1 Develop and improve urban infrastructure facilities to increase economic opportunities and to reduce vulnerability to environmental degradation, poverty, and natural hazards. 2.2 Enhance accountability in municipal management and strengthen the capabilities of urban local municipal service delivery	• Investment programs in each participating municipality covering such subsectors as roads and bridges, drainage, low-cost sanitation, solid waste management, municipal facilities (markets, terminals, slaughterhouses, etc.), water supplies, and low-income community upgrading • Cabinet approval of National Urban Sector Policy (2006) • Amendment of Pourashava Ordinance (2006) • Revision of holding tax rules and schedules (2006) • Preparation of strategic development vision papers by Pourashavas (2003) • Adoption of Urban Governance Action Program by Pourashavas (2003)	• PEM reports (UMSU) • monitoring and evaluation reports (PMO) • ADB mission reports • PCR • Quarterly progress reports • Facilitator reports (UGIAP)	• Availability of adequate financial resources to meet the investment requirement for basic urban infrastructure • Willingness of beneficiaries to pay for proper management, maintenance, and operation of infrastructure facilities • Political will to devolve more financial resources and decision-making authority to local governments • Pourashava chairpersons' willingness to introduce reforms for transparency of decision-making and equal participation of local people in urban management • Availability of adequate training opportunities for elected officials and appointed staff
3. Components 3.1 Part A: Urban Infrastructure Improvement Urban roads and bridges	• Rehabilitation - 219 km • Repair - 162 km • Widening - 21 km	• PMO reports • monitoring and evaluation	• Timely establishment of PMO and PIUs; timely recruitment of consultants;

Narrative Summary	Indicators and Targets	Monitoring Mechanisms	Key Assumptions
Drainage Sanitation Solid Waste Management Water Supply Municipal Facilities Slum Improvement	• New bridges - 270 m • New culverts - 550 m • Rehabilitation - 200 km • New drains - 130 km • Twin pit latrines - 12,000 • Public toilets - 84 • New trucks - 47 • Rickshaw vans - 242 • Transfer station - 60 • Controlled dumping - 30 • Production tubewells - 2 • Treatment plant - 1 • Overhead tank - 1 • Distribution pipeline - 8 km • Hand tubewells • Kitchen markets - 12 • Bus terminals - 18 • Truck terminals - 2 • Slaughterhouses - 18 • Employment generation - 676 person-years • Facilities in the slum area improved	Reports (PMO) • ADB Mission Reports • PCR	commitment of Pourashava staff • Funding is made available in accordance with the loan disbursement schedule and financing plan. • PIU fully staffed and operational before signing of subproject agreement
3.2 Part B: Urban Governance Improvement (Phase 1)			
Citizen Awareness and Participation	• Publicity boards and information kits (2003) • Formation of town-level committee (2003) and regular meetings thereafter (4 /year) • Preparation of participatory Municipal Development Plan (2005)	• UMSU work plan and progress reports • PEM reports (UMSU) • Monitoring and evaluation reports (PMO) • Facilitators' reports • ADB mission reports • PCR	• Public awareness and community development campaign/programs to bring local stakeholders in designing and implementation of the Project
Women's Participation	• Formation of Gender and Environment Committee by 2003 • Development of TOR for female commissioners by 2004 • Implementation of activities related to GAP • Introduction of GAP monitoring system by 2005		• Adequate training facilities and technical support system available through national and regional UMSUs to help local governments in implementing the activities under UGIAP • Pourashava chairpersons actively supporting the initiatives under the UGIAP
Integration of the Urban Poor	• Development of Poverty Reduction Action Program (PRAP) by 2004 • Formation of Slum		

Narrative Summary	Indicators and Targets	Monitoring Mechanisms	Key Assumptions
Financial Accountability and Sustainability Administrative Transparency	Improvement Committee by 2004 • Health and education program • Skills training • PRAP monitoring system by 2005 • Minimum 5% increase in holding tax collection each year • Positive increase in nontax revenues each year • Regular and interim holding tax appraisal • Payment of power bills (minimum 60% for current bill and 40% for arrears in 2 years) • Minimum 15% of development budget reserved for O&M • Computerization of tax and accounting records by 2005 • Infrastructure inventory assessment and mapping by 2005 • Development of TORs for municipal staff by mid-2005 • Formation of ward committees by mid-2004 • Training of chairpersons and ward commissioners by mid-2005		
3.3 Part C: Capacity Building and Implementation Assistance			
Capacity Building	• Development of the work program of UMSU by March 2003 • Preparation of manuals and training programs by December 2003 • Training of municipal tax staff • Training of accounting staff • Training of Pourashava chairpersons • Training of ward commissioners • Training of female ward commissioners for social and gender development	• GPD reports (UMSU) • ADB mission reports • Training manuals • Orientation programs	• MLGRDC's support to the proposed restructuring of LGED focusing on strengthening of urban management wing and qualified staff available and assigned to UMSU • Adequate budget to support the activities of UMSU
Implementation Assistance	• Timely establishment of PMO		

Narrative Summary	Indicators and Targets	Monitoring Mechanisms	Key Assumptions
	Strengthening of regional LGED with incremental staff for supervision and training		
4. Activities/Inputs 4.1 Part A: Urban Infrastructure Improvement Roads and bridges Drainage Sanitation Solid Waste Management Water Supply Municipal Facilities Slum Improvement 4.2 Part B: Urban Governance Improvement Citizen Awareness and Participation Women's Participation Support to the Urban Poor Financial Accountability and Sustainability Administrative Transparency 4.3 Part C: Capacity Building and Implementation Assistance Capacity Building (UMSU)	\$25.3 million \$11.2 million \$3.3 million \$4.0 million \$2.6 million \$15.0 million \$3.3 million - Facilitators (20 p-m per Pourashava) - Facilitators (12 p-m per Pourashava) - Facilitators (4 p-m per Pourashava) - NGOs - Facilitators (4 p-m per Pourashava) - PEM consultants (domestic – 276 p-m) - GPD consultants (international – 11 p-m and domestic – 108 p-m) - Incremental staffing (1 director, 3 deputy directors, 3 assistant deputy directors, 6	- PMO reports - SPARs - Construction and procurement reports - Disbursement and reimbursement records - ADB review missions - Annual work plans - UMSU work plan and progress reports - PEM reports (UMSU) - monitoring and evaluation reports (PMO) - Facilitators reports - ADB mission reports - PCR - GPD reports (UMSU) - ADB mission reports - Training manuals - Orientation programs	- Timely recruitment of project management and MDS consultants. - Fully staffed and capable PMO and PIUs - Timely agreement of proper tender procedures (including prequalification of contractors) - Counterpart funds available - Timely establishment of UMSU (national and regional levels) - Substantial improvement of the performance of participating Pourashavas under phase 1 so that they can remain in the program - Pourashavas' ability to prepare project proposals to access the funding from the second phase

Narrative Summary	Indicators and Targets	Monitoring Mechanisms	Key Assumptions
Implementation assistance	staff) at the national UMSU - Incremental staffing (20 executive engineers to lead the training activities, 10 regional training coordinators, 20 support staff) at regional UMSUs - MDS consultants (international – 48 p-m and domestic – 2,437 p-m) - monitoring and evaluation consultants (domestic – 246 p-m) - Deputation of LGED technical staff (1 sub-assistant engineer and 2-4 work staff to each Pourashava) - Incremental staffing (10 assistant engineers and 10 sub-assistant engineers) at regional LGED offices to supervise the work of PIUs - Incremental staffing (29 officers and 23 technical staff) at PMO		

ADB = Asian Development Bank, BBS = Bangladesh Bureau of Statistics, GAP = gender action plan, GPD = governance program development, LGED = Local Government Engineering Department, MDS = management, design, and supervision, MLGRDC = Ministry of Local Government, Rural Development and Cooperatives, O&M = operation and maintenance, PEM = performance evaluation and monitoring, PCR = project completion report, PIU = project implementation unit, , p-m = person-month, PMO = project management office, PRAP = Poverty Reduction Action Program, SPAR = subproject appraisal report, TOR = terms of reference, UGIAP = Urban Governance Improvement Action Program, UMSU = urban management support unit.

SUMMARY OF URBAN SECTOR ANALYSIS

A. Demographic and Spatial Trends

1. Bangladesh has experienced significant growth in urban population from less than 5 million in 1971 to almost 30 million in 2001. Accordingly, the level of urbanization increased from below 8% in 1971 to 23% in 2001. The growth in the number of urban centers has also been phenomenal, from under 100 in 1971 to 522 in 1991 (and most likely to be more than 550 in 2001). There has also been growth in the number of large urban centers: Cities with more than 100,000 population have grown in number from 5 in 1971 to 25 in 2001. There were no “million cities” in Bangladesh in 1961; now there are three, with Dhaka emerging as a megacity with nearly 10 million people in its greater Statistical Metropolitan Area.

2. Although Bangladesh presents a unique case of dispersal of urban centers almost in uniform density throughout the country (with the exception of the Chittagong Hill Tracts), the distribution is far from being a balanced one by city size. Certain regions suffer from the absence of large metropolitan centers, which could play the role of regional magnets or growth poles, and somewhat reduce the strong pull effect of Dhaka. Another spatial pattern in urban development in Bangladesh is the recent emergence of a corridor form of urban expansion, radiating from Dhaka towards the west, north, northeast, and east, following the highways, and to the southeast along the water routes. Railways have played a complementary role to roads in the northern and northeastern corridors.

B. Institutional Framework

3. In terms of administrative structure, urban centers in Bangladesh are classified as city corporations, Pourashavas (municipalities), and “other urban areas” (which are run under the union parishad system). The present number of city corporations is 4 (Dhaka, Chittagong, Khulna, and Rajshahi), with two more Pourashavas to be upgraded to city corporations (Sylhet and Barisal), while the number of Pourashavas is now over 250 (growing from less than 120 in 1996). Municipal governments include city corporations and pourashavas. All municipal governments operate within the limits set by relevant ordinances and acts. For instance, the Pourashava Ordinance of 1977 lays down the foundation of pourashavas and their functions, while similar ordinances define the role, power, and responsibilities of the city corporations. Besides the city corporations and pourashavas, some special development authorities and special purpose authorities were created to meet the growing demand for services based on two other ordinances – the Town Improvement Act of 1953 and the Sewerage Authority Ordinance of 1963.

4. Corporations and Pourashavas have an elected head (mayor for corporations and chairperson for Pourashavas) and a council of commissioners who represent the people in each suburb or ward, and are mandated by ordinance to provide urban services including (i) maintenance of roads, drainage, and parks; (ii) operation of water supply systems, community toilets, markets, solid waste management, and slaughterhouses; (iii) delivery of public health and basic services for the urban poor; and (iv) development and building control. The executive power of a municipality rests with its chairperson or mayor who is the primary decision-maker. The chief executive officer is appointed by the Government but has only such executive powers as the chairperson may authorize. All officers and employees of the Pourashava are subordinate to chief executive officer. Municipal ordinances, however, contain numerous clauses under which the Central Government can give directions to municipalities. In fact, only a few amendments have been made to the Pourashava Ordinance in the last 10 years, and even

these were all minor changes not sufficient to accord clear authority and decision-making power to local governments.

C. Urban Sector Policy Framework

5. Although the Government of Bangladesh has long been aware of both the rapid pace of urbanization in the country and the associated physical, economic, and social problems, it has not yet adopted an explicit urban policy. However, a number of government documents and other initiatives have from time to time indicated the policy thinking of the Government with regard to urbanization and urban development. The National Report on Human Settlements submitted to the United Nations Habitat I Conference held at Vancouver in Canada in 1976 came close to a policy statement on human settlements and urbanization in Bangladesh. Besides this, the various five-year plan documents prepared between 1973 and 1998 also indicated some policy direction.

6. Overall, however, the formal planning documents have sidetracked urban development.. For instance, almost none of the plans developed through successive five-year plan exercises were ever implemented. In 1991, the Planning Commission abandoned the sequence of five-year plans and instead spent a lot of time to issue a 15-year Participatory Perspective Plan to be supplemented with detailed Annual Development Programs. However, the Plan was never finalized, and the five-year planning process was reestablished. The Fifth Five-Year Plan has followed more or less the earlier policies and emphasized decentralization development. However, investments have continued to be concentrated in the largest cities, Dhaka and Chittagong. On the other hand, a number of parallel developments outside the five-year plan exercises have emphasized urbanization and the urban sector. The *Report of the Task Force on Social Implications of Urbanization* prepared in 1991 at the behest of the interim government of the time made an elaborate statement on urban policy and poverty reduction. This report, however, was not approved by the new Government and therefore not considered for implementation.

7. Subsequently, the National Housing Policy (1993), the Bangladesh Urban and Shelter Sector Review (1993), the Bangladesh Urban Sector National Program Document (1994), the Bangladesh National Habitat II Report (1996), and the recent Bangladesh National Habitat II Istanbul+5 Report (2001) have all underscored the most important role urbanization can play in national development. All these documents have spelled out policy directions and even action plans for achieving a balanced development process. The National Housing Policy is an officially approved document, and so are the 1996 Habitat II and 2001 Istanbul+5 Report. The Urban Management Policy Statements (1994 and 1999) prepared by the Ministry of Local Government (jointly with the Asian Development Bank and the World Bank) emphasized that all Pourashavas should have adequate personnel and financial strength, provide and maintain basic infrastructure facilities, prepare and implement land use plans, address poverty, ensure participation and involve the private sector.

EXTERNAL ASSISTANCE TO THE URBAN SECTOR

Table A3.1: Multilateral and Bilateral Assistance, 1995-2001
(\$ million)

Source	Loans	Grants	Total
A. Multilateral			
ADB	79.38		79.38
World Bank	410.00		410.00
UNICEF		16.70	16.70
UNDP		26.00	26.00
European Union		10.00	10.00
Subtotal			542.08
B. Bilateral			
Denmark		17.19	17.19
United Kingdom		0.07	.07
Subtotal			17.26
Total	489.38	69.96	559.34

ADB = Asian Development Bank, UNDP = United Nations Development Programme, UNICEF = United Nations Children's Fund.

Table A3.2: Asian Development Bank Assistance, 1989 – 2001

Title	Year of Approval	Amount (\$ million)
A. Loans		
Dhaka Urban Infrastructure Development	1989	24.2
Secondary Towns Infrastructure Development	1990	43.0
Dhaka Integrated Flood Protection	1991	91.5
Secondary Towns Integrated Flood Protection	1992	55.0
Secondary Towns Water Supply and Sanitation	1993	31.0
Secondary Towns Infrastructure Development II	1995	65.0
Rehabilitation of 1998 Flood-Damaged Urban Infrastructure	1998	14.38
Subtotal (A)		324.08
B. ADTAs		
Institutional Strengthening of Pourashavas	1990	0.98
Housing Sector Institutional Strengthening	1992	0.60
Institutional Strengthening of DPHE	1993	0.35
Institutional Strengthening of Pourashavas for Urban Water Supply and Sanitation Services	1993	0.45
Modernizing Land Administration	1995	0.60
Urban Poverty Reduction	1995	0.60
Modernizing Land Administration (Phase 2)	1996	0.60
Urban Sector Strategy	1999	0.15
Subtotal (B)		4.33
Total		328.41

ADTA = advisory technical assistance, DPHE = Department of Public Health Engineering.

URBAN GOVERNANCE IMPROVEMENT ACTION PROGRAM AND PERFORMANCE CRITERIA

Activities/Criteria	Level of Performance	
	Fully Satisfactory	Minimum requirements
1. Citizen Awareness and Participation		
Building of information system for the general public (publicity board in each ward, notice in local newspapers, leaflets twice a year, etc.) on UGIAP and its activities	Complied with	Complied with
Formation of town-level coordination committee (within 6 months from the signing of subproject agreement); the committee will consist of Pourashava chairperson (as the chair), ward commissioners, and the representatives from civil society, professional associations, and citizen groups (including women). The total number of committee will not exceed 60.	Complied with	Complied with
Regular meetings of the committee held with at least one third of the members attending	Quarterly	Quarterly
Establishment of the planning unit supported by a full-time town planning expert to be engaged under the Project	Complied with	Complied with
Implementation of Infrastructure Inventory assessment and mapping	UMSU program completed	Program in progress
Discussion and endorsement of the Municipal Infrastructure Development Plan (complete with an updated land use plan) to be prepared by the Planning Unit with assistance from UMSU	Complied with	Partly complied with
Finalization of an implementation plan for Municipal Infrastructure Development Plan	Complied with	In progress
2. Women's Participation		
Delineation of responsibilities of female ward commissioners (FWC) in each pourashava by the municipal council	Complied with	Complied with
Formation of Gender and Environment sub-committee headed by a FWC	Complied with	Complied with
Participation of FWC in Pourashava committees	Complied	Complied
Organization of semiannual rallies on UGIIP and Social and Gender Development at the ward level involving women citizens	Semiannual	Semiannual
Component wise activities undertaken in accordance with GAP (based on the targets set by PMO)	Complied with	Partly complied with
Introduction of a monitoring and report system on GAP (PMO will develop the system)	Complied with	In progress
3. Integration of the Urban Poor		
Preparation of Pourashava-level poverty reduction action program (PRAP)	Complied with	Complied with
Formation of slum improvement committees in targeted slums	Complied with	Complied with
Organization of semiannual rallies and consultation on environment, water supply and sanitation, and solid waste management as envisaged in GAP	Complied with	Complied with
Engagement of NGOs for microcredit for poor and low income women entrepreneurs and preparation of a fund utilization plan by the implementing NGO	Complied with	Complied with

Activities/Criteria	Level of Performance	
	Fully Satisfactory	Minimum requirements
Lending activities conducted by the implementing NGOs	Complied with	In progress
Delivery of health and education programs in targeted slums as envisaged in PRAP	Complied with	In progress
Leadership and skills training offered to poor women as envisaged in PRAP	Complied with	In progress
Establish a PRAP-based monitoring and report system	Complied with	In progress
4. Financial Accountability and Sustainability		
Increase in the holding tax collection efficiency each year	By 10% (up to 80% collection efficiency)	By 5% (up to 80% collection efficiency)
Other own source collection	Increase in the amount compared with previous year	Increase in the amount compared with previous year
Compliance with property tax appraisal (regular re-assessment every 5 years)	Regular and interim appraisal	Regular and interim appraisal
Regular payment of electricity bills	80% paid (current bill) clearance of arrears (more than 60% over 2 years)	60% paid (current bill) clearance of arrears (more than 40% over 2 years)
Regular payment of telephone bills	80% paid (current bill) Clearance of arrears (more than 60% over 2 years)	60% paid (current bill) Clearance of arrears (more than 40% over 2 years)
Budget reservations for O&M	At least 20% of the development budget excluding UGIIP funding	At least 15% of the development budget excluding UGIIP funding
Computerization and improved management of tax records with assistance of UMSU	Computerization completed	On-the-job training completed
Computerization and improved reporting of accounting records with assistance of UMSU	Computerization completed	On-the-job training completed
5. Administrative Transparency		
Development of adequate staff structure (according to the size and needs) with detailed job descriptions to enable the Pourashava to effectively undertake its current and future obligations	Complied with	Complied with
Establishment of ward committees headed by the respective ward commissioner	Complied with	Complied with
Activation of Pourashava subcommittees	Complied with	Complied with
Participation in training programs for elected officials at UMSU	Chairperson and at least 80% of commissioners	Chairperson and at least 60% of commissioners
Evaluation and monitoring by regional LGED offices of the progress and quality of physical works	Fully satisfactory	Satisfactory
Delivery of progress reports to PMO	Above 80% delivered on time	Above 60% delivered on time

GAP= = gender action plan, LGED= Local Government Engineering Department, NGO = nongovernment organization, O&M = operation and maintenance, PMO = project management office, UGIAP = Urban Governance Improvement Action Program, UGIIP = Urban Governance and Infrastructure Improvement Project, UMSU = urban management support unit.

ENTRY CRITERIA FOR NEW POURASHAVAS

No.	Criteria	Requirements
1	Development of adequate staff structure supported by detailed TOR	Complied with
2	Establishment of town-level committee and the first meeting held	Complied with
3	Establishment of ward committees	Complied with
4	Formation of gender and environment committee headed by a female ward commissioner	Complied with
6	Holding tax appraisal (regular reassessment every 5 years)	Complied with
7	Preparation a vision paper for municipal development	Complied with
8	Establishment of the planning unit with existing municipal staff as a focal point (a full-time town planning expert will be engaged after the signing of subproject agreement)	Complied with
9	Preparation of Pourashava poverty reduction action plan	Complied with

TOR = terms of reference.

HIGH PRIORITY INVESTMENT PROGRAM FOR PHASE 1
(base costs in Tk million)

Pourashava	Ceiling for Phase 1 Investments (30% of TUDP Identified Program)	Component			Total
		Roads	Drainage	Water Supply	
Bandarban	27.0	6.340	20.660		27.000
Bhairab	36.3	28.986	6.518		31.504
Gazipur	60.4	23.385	34.050		57.435
Habiganj	28.1	16.935	10.957		27.892
Ishwardi	36.1	20.210	17.500		37.710
Jhalakati	25.0	17.490	8.500		25.990
Khagrachhari	29.2	19.500	11.600		31.100
Kishoreganj	37.6	12.328	26.950		39.278
Lalmonirhat	32.2	25.916	8.127		34.043
Lakshmipur	41.2		2.800	38.400	41.200
Manikganj	37.2	37.602	1.132		38.734
Meherpur	24.3	11.800	13.780		25.580
Moulvibazar	25.7	18.205	7.909		26.114
Narayanganj	76.6	43.887	33.828		77.715
Narsinghdi	79.4	46.895	33.300		80.195
Netrokona	24.2	20.473	4.612		25.085
Panchagarh	31.4	26.598	5.515		32.113
Sariatpur	30.7	30.605	1.600		32.205
Savar	65.5	34.443	31.925		66.368
Shahzadpur	28.4	15.826	13.855		29.681
Sherpur	42.3	25.127	15.203		40.330
Tongi	92.2	51.727	44.810		96.537
Total	911.0	534.278	355.131	38.400	927.809
Total (\$ million)	15.4	9.040	6.008	0.649	15.698

tbd = to be determined, TUDP = Third Urban Development Project.

PROJECT COST ESTIMATES
(\$ million)

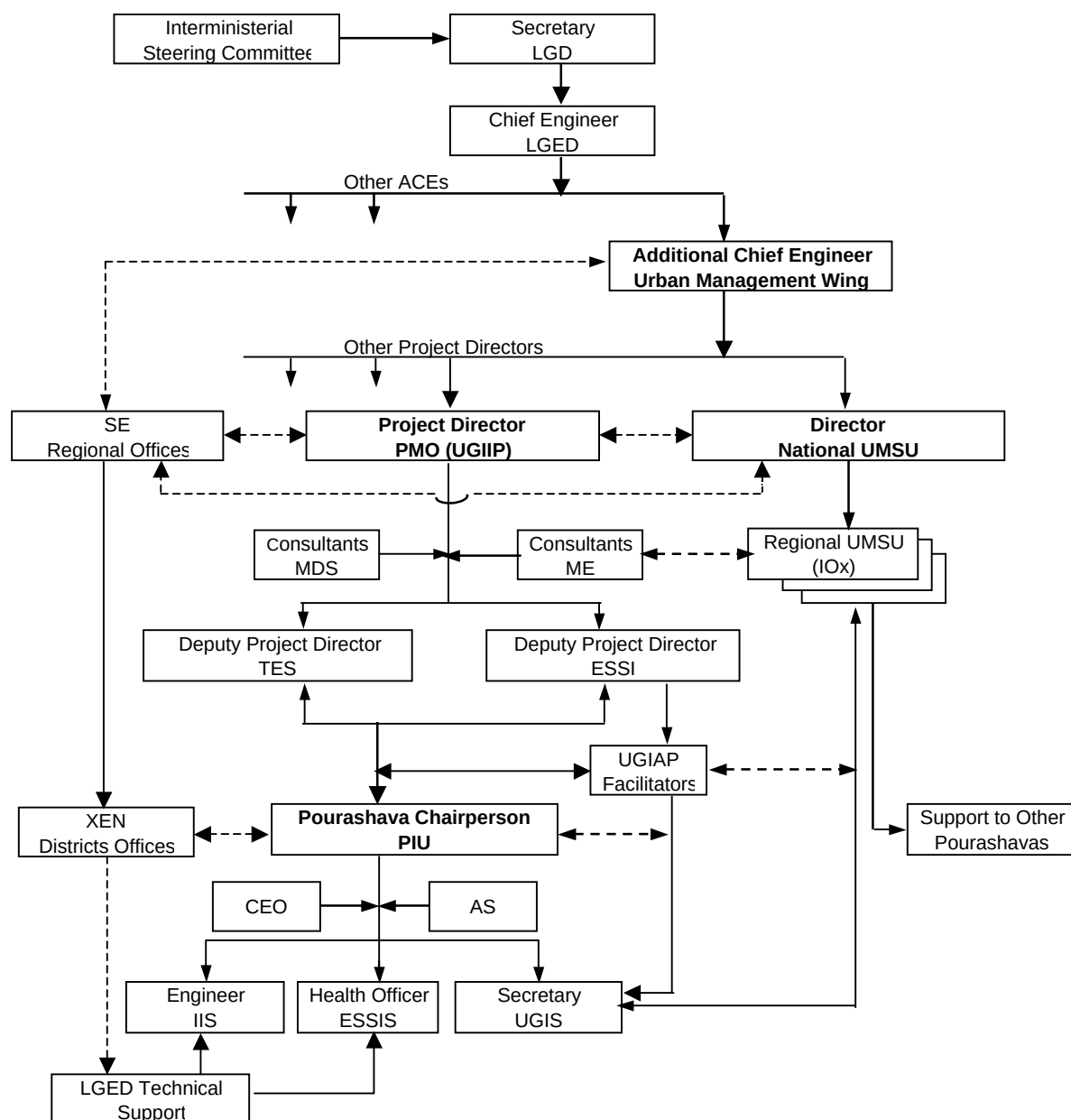
Item	Foreign Exchange	Local Currency	Total Cost
Part A: Urban Infrastructure Improvement			
1. Roads and Bridges	7.5	17.8	25.3
2. Stormwater Drainage	3.3	7.9	11.2
3. Sanitation	0.7	2.6	3.3
4. Solid Waste Management	1.6	2.4	4.0
5. Municipal Facilities	3.0	12.0	15.0
6. Slum Upgrading	0.7	2.6	3.3
7. Water Supply	0.8	1.8	2.6
Subtotal (Part A)	17.6	47.1	64.7
Part B: Urban Governance Improvement			
1. Microcredit	0.0	1.0	1.0
2. Community Poverty Reduction Activities ^a	0.0	1.0	1.0
3. Institutional Reform and Capacity Building	0.4	2.5	2.9
a. MSU training for 43 towns	0.0	0.6	0.6
b. UGIIP training for 22 towns	0.0	0.5	0.5
c. UMSU staffing	0.0	0.8	0.8
d. UMSU equipment/vehicle	0.2	0.2	0.4
e. UMSU operating costs	0.0	0.2	0.2
f. Unallocated	0.2	0.2	0.4
Subtotal (Part B)	0.4	4.5	4.9
Part C: Capacity Building and Implementation Assistance			
1. Consulting Services	1.3	6.5	7.8
a. MDS and Monitoring/Evaluation	1.1	5.3	6.4
b. Facilitators	0.0	0.4	0.4
c. GPD consultants	0.2	0.2	0.5
d. PEM consultants	0.0	0.6	0.6
2. Incremental O&M	0.5	4.7	5.2
a. PMO staffing	0.0	1.0	1.0
b. PIU staffing	0.0	2.2	2.2
c. NGO	0.0	0.2	0.2
d. Equipment/vehicles	0.5	0.5	1.0
e. Operating costs	0.0	0.8	0.8
Subtotal (Part C)	1.8	11.3	13.1
IDC	1.7	2.6	4.3
Total	21.5	65.5	87.0

GPD = governance program development, MDS = management, design, and supervision, O&M = operation and maintenance, MSU = municipal support unit, NGO = nongovernment organization, PEM = performance evaluation and monitoring, PIU = project implementation unit, PMO= project management office, UGIIP = Urban Governance and Infrastructure Improvement Project, UMSU = urban management support unit.

^a Includes toilet improvement, community health and education program, and skills training, etc.

Source: Asian Development Bank estimates.

IMPLEMENTATION AND MANAGEMENT ARRANGEMENTS



AS = accounting section (Pourashava)
 CEO = chief executive officer (Pourashava)
 ESSI = environment, sanitation, and slum improvement
 ESSIS = environment sanitation and slum improvement section
 IIS = investment improvement section
 MDS = management, design, and supervision
 ME = monitoring and evaluation
 PIU = project implementation unit

PMO = project management office
SE = superintending engineer
TES = technical, engineering, and supervision
UGIS = urban governance improvement section
UMSU = urban management support unit
XEN = executive engineer, LGED Districts

———— direct relationship
 coordination/advise

SUBPROJECT COMPONENT SELECTION CRITERIA

1. The selection of subproject components will be based on the following criteria (i) suitable technical options have been explored; (ii) a least-cost comparison of technically feasible options has been prepared; (iii) maps, plans, and details at a reasonable scale showing the location, scope, and scale of the component, and a preliminary cost estimate have been prepared; (iv) an implementation plan proposing responsibilities of the project implementation unit for construction and operation and maintenance (O&M) has been prepared; (v) environmental impacts have been examined, mitigation measures have been proposed, and assurances have been obtained for necessary approvals; (vi) community views have been sought and incorporated in the component, and social impacts (including resettlement and indigenous peoples issues) have been addressed; (vii) preparatory work has been completed to acquire necessary land and rights-of-way; (viii) the subproject component conforms to adopted town plans, road plans, and regulations; (ix) the Pourashava has the financial, technical, and personnel resources necessary for O&M of the subproject component; and (x) opportunities for public-private partnerships have been examined for subproject implementation and operation.

2. Additional criteria for selection of subproject component that are specific to each of the potential seven subsectors under each subproject are described below.

A. Roads and Bridges

3. The selection criteria for road and bridge components are as follows: (i) a completed land development or traffic survey indicates a need for improvement to accommodate the existing potential traffic; (ii) the cost of O&M can be met; and (iii) the component has an economic internal rate of return (EIRR) greater than 12%, based on savings in vehicle operating costs, accidents, and personal travel time for business purposes in the case of existing roads, and on the basis of economic development potential for new roads.

B. Water Supply

4. The selection criteria for water supply components are as follows: (i) a user-needs and willingness-to-pay survey confirms the need for the component; (ii) the availability of required raw water has been confirmed; (iii) water tariffs are set at a level that generates sufficient revenue to cover the cost of O&M, and the higher of either depreciation and interest or debt service for the component; and (iv) the implementation of any tubewell works will be strictly in line with the Government's guidelines and standards for the development of deep tubewells.

C. Municipal Facilities

1. Truck and Bus Terminals

5. The following are the selection criteria for truck and bus terminals: (i) a completed traffic survey shows that truck and bus traffic is sufficient to require a new or upgraded truck or bus terminals; (ii) a suitable plot allocation plan exists covering the price or lease terms for the sites and the process for selection of beneficiaries; and (iii) the subproject component has a financial internal rate of return (FIRR) in excess of the weighted average cost of capital, and will generate sufficient revenue to cover the cost of O&M for the facility and debt service.

2. Public Markets

6. Selection criteria for public markets are the following: (i) a survey has demonstrated the need for a new or extended market and has estimated the number of stalls required, their size, and the likely rents to be charged for them; (ii) a suitable plot allocation plan exists covering the price or lease terms for the sites and the process for allocation of plots; and (iii) the component has an FIRR in excess of the weighted average cost of capital, and will generate sufficient revenue to cover the cost of O&M for the facility and debt service.

D. Drainage

7. The following are the selection criteria for drainage component: (i) a completed survey reveals frequent flooding, waterlogging, landslides, disruption of traffic, unsanitary conditions, or damage to roads and property; (ii) sufficient resources and systems are available to support O&M for the component; and (iii) the component has an EIRR of 12% or higher, based on an analysis of property damage, and personal inconvenience and suffering that will be avoided through implementation of the subproject.

E. Low-Cost Sanitation

8. Selection criteria for low-cost sanitation components are the following: (i) a completed user-needs and willingness-to-pay survey confirms the need for the component; (ii) the beneficiaries are willing and able to provide labor and other in-kind support to construct the latrines and to build the superstructures out of their own resources; (iii) the Pourashava is willing and able to provide required advisory assistance to the beneficiaries; (iv) suitable arrangements have been made for O&M – in the case of public latrines, the Pourashava will appoint a person or persons to be responsible for the maintenance of the latrines; and (v) users will be charged fees sufficient to cover the cost of O&M for the latrines.

F. Solid Waste Management

9. Selection criteria for solid waste management components are as follows: (i) the component has a FIRR, which is greater than the weighted average cost of capital; and (ii) incremental revenue is obtained from either direct user charges or rates to meet the cost of O&M for the solid waste facilities and services. Where the opportunity exists for composting of solid waste, its implementation should be clearly defined in the proposals for solid waste components.

G. Slum Improvement

10. Slum improvement components have the following selection criteria: (i) compilation of an official list of households actually occupying the site; (ii) completion of the requisite physical surveys of the site and social surveys of the resident population; (iii) completion of a detailed feasibility study and selection of an upgrading approach based on technical and financial suitability for local conditions, affordability, and resident desires; (iv) formation of an active community development committee to ensure maximum community participation in both implementation and maintenance of the upgrading components; (v) certification that the proposed land use for special areas has the full approval of the Pourashava and the local community; and (vi) beneficiaries undertake to make in-kind and financial contributions to meet the cost of O&M for the component, and a system is designed to implement this commitment.

IMPLEMENTATION SCHEDULE

Description	02	2003				2004				2005				2006				2007				2008				2009			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Loan Preparation:																													
Loan Effectiveness																													
Recruitment of Consultants																													
Assignment of Project Staff (PMO, PIU, and UMSU)																													
Preparation Report on Development Vision Pourashavas																													
Phase 1																													
Training, Preparation, and Implementation of UGIAP																													
SPAR Phase 1																													
Subproject Agreement																													
Surveys, DED, and Contract Designs																													
Tendering and Contract Awarding																													
Physical Implementation and Supervision																													
Land Acquisition for Phase 2 Physical Investments																													
Performance Monitoring Phase 1																													
Performance Evaluation for Phase 2																													
Review Compliance with Entry Conditions ^a																													
Phase 2																													
Implementation of UGIAP (Phase 1 Pourashavas)																													
Training, Preparation, and Implementation of UGIAP ^a																													
Review Report Development Vision Pourashava																													
SPAR Phase 2 and Agreement																													
Land Acquisition for Phase 3 Physical Investments																													
Surveys, DED, and Contract Designs																													
Tendering and Contract Awarding																													
Physical Implementation and Supervision																													
Performance Monitoring Phase 2																													
Performance Evaluation for Phase 3																													

Description	02	2003				2004				2005				2006				2007				2008				2009			
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Phase 3																													
Implementation of UGIAP																													
Review Report Development Vision Pourashava																													
SPAR Phase 3 and Agreement																													
Surveys, DED, and Contract Designs																													
Tendering and Contract Awarding																													
Physical Implementation and Supervision																													
Performance Monitoring Phase 3																													
Miscellaneous																													
Project Review Missions																													
Midterm Review Mission																													
Loan Closing																													

DED = detailed engineering design, SPAR = subproject appraisal report, UGIAP = Urban Governance Improvement Action Program.

^a For Pourashavas initially not selected.

INDICATIVE CIVIL WORKS AND PROCUREMENT PACKAGES

Component	Estimated Contracts	Base Cost (\$ million)	Mode of Procurement
A. Civil Works	(no.)		
1. Phase-I	264	15.400	LCB
2. Phase-II	257	15.000	LCB
3. Phase-III	276	16.100	LCB
B. Solid Waste Management Equipment			
1. Garbage Dump Trucks			
a. 3 tons	2	0.466	IS
b. 2 tons	2	0.466	IS
c. 1.5 tons	2	0.500	IS
2. Dozer	2	0.800	IS
3. Rickshaw Van	2	0.060	LCB
C. Water Supply Equipment			
1. Submergible Turbine/Production Well	1	0.100	LCB
D. Vehicles			
1. 4 Wheel Drive Jeep	2	0.240	IS
2. Micro bus	2	0.220	IS
3. Double Cabin Pickup Truck	2	0.450	IS
4. Motorcycle	3	0.202	IS

IS =international shopping, LCB = local competitive bidding.

Source: Asian Development Bank estimates.

CONSULTING SERVICES FOR PROJECT MANAGEMENT AND CAPACITY BUILDING

A. Required Consulting Services

1. Consulting services are required to facilitate project implementation and to strengthen the institutional, administrative, and financial capacities of the Pourashavas. In total, five packages of consulting services will be provided under the Project: three for the project management office (PMO) and two for the urban management support unit (UMSU). Table A11.1 provides an overall overview of the recommended services.

2. For engineering management, design, and construction supervision, a consulting firm will be engaged to assist the PMO and project implementation units (PIUs) in the preparation of surveys, detailed engineering designs, contract documentation, tender, supervision, and so forth. For monitoring and evaluation, individual consultants will be engaged, while facilitators (as individual consultants) will be assigned to assist the Pourashavas in preparing and implementing the Urban Governance Improvement Action Program (UGIAP).

3. A consulting firm will be engaged to support the governance program development section of UMSU to prepare training and orientation programs, manuals, and modules and to assist UMSU staff with the delivery of capacity-building activities to the Pourashavas. Further, the Performance Evaluation and Monitoring (PEM) Section of UMSU requires assistance from individual consultants for monitoring and evaluation of the performance of all urban local bodies, including the project Pourashavas.

Table A11.1: Overview of Recommended Consulting Services

Recommended Services	Person-Months	
	International	Domestic
A. Project Implementation (PMO/PIU)		
1. Management, Design and Supervision (MDS)	48	2,437
2. Monitoring and Evaluation (ME)		246
3. Facilitators		880
B. Capacity Building (UMSU)		
1. Performance Evaluation and Monitoring (PEM)		276
2. Governance Program Development (GPD)	11	108
Total Person-Months	59	3,947

PIU = project implementation unit, PMO = project management office, UGIAP = Urban Governance Improvement Action Program, UMSU = urban management support unit.

B. Consulting Services for Urban Management Support Unit (UMSU)

1. Governance Program Development

4. The scope of work includes the following activities:

- (i) Review the training programs developed by Municipal Services Unit (MSU) and identify the areas for further improvement; make recommendations to the director of UMSU for improving the MSU training programs; if necessary, provide inputs to further improve and finalize the MSU programs.

- (ii) Prepare training programs, training materials and modules to assist the project Pourashavas to achieve the targets under the UGIAP based on UMSU's work plan as approved by the Asian Development Bank (ADB) (approval of the UMSU work plan is a condition for loan effectiveness).
- (iii) Train skilled Local Government Engineering Department staff and others (training of trainers) in the delivery of urban governance awareness programs.
- (iv) Test the prepared programs in at least three local governments in three different regions.

5. It is expected that the services will take a full year. Further, the services will require an integrated team of domestic and international experts. The team leader should be an expert in the field of urban management and planning. Domestic experts should have practical experiences in the UGIAP's key elements. Table A11.2 provides an indication of the required staff.

Table A11.2: Staffing Requirements for GPD Consultants

Position	Person-Months	
	International	Domestic
Team leader/urban governance expert	11	
Social and gender specialist		6
Community development specialist		6
Financial management specialist		6
Urban planner		18
Environmental specialist		8
Poverty reduction specialist		10
Training specialist		6
Unidentified		48
Total	11	108

2. Performance Evaluation and Monitoring

6. The PEM section of UMSU is responsible for monitoring and evaluation of the performance of the Pourashavas in achieving the targets in the UGIAP. In this connection, the PEM will also serve as the secretariat for the Pourashava Performance Review Committee (PPRC). Further, the PEM Section will prepare an annual ranking of the performance of all Pourashavas in Bangladesh and disseminate the results to the general public through national media, its own publications and its web site. For this purpose, the PEM Section will set up and maintain a database for municipal performance and design a scoring system for performance measurement. To assist the PEM section of the UMSU, individual consultants will be recruited to carry out project-specific as well as broad-based monitoring and evaluation of the performance of the Pourashavas. In particular, the consultants will closely monitor the progress in achieving the targets in the UGIAP and report to the PPRC for its consideration and decision. The PEM consultants will also develop a nationwide database for continuous monitoring and comparison of all Pourashavas in the country. The main tasks of the PEM consultants include, but are not limited to, the following:

- (i) Develop measurable performance targets for the individual UGIAP activities and prepare the guidelines and formats to be used by urban governance improvement section in preparing the quarterly progress reports; also build an electronic database to monitor the progress of the Pourashavas in achieving the measurable targets of the UGIAP; coordinate with the PMO to utilize the reports of the facilitators for counterchecking progress at the ground level; also visit the Pourashavas at least every 6 months to validate the reports of UGIS on the progress with actual achievements; prepare semiannual reports to the director of UMSU and to ADB on its assessment of the progress in the UGIAP; and prepare the performance assessment report to be reviewed by PPRC in evaluating the overall performance of the participating Pourashavas.
- (ii) Develop measurable performance criteria for all major urban local governments (including municipal corporations and class A Pourashavas); based on the established criteria, collect performance data and develop a scoring system to rank the performance of all major urban local governments; and disseminate the outcomes of the performance ranking through national media, its own website, and its own annual yearbook.

7. Staffing requirements are presented in Table A11.3. Given the key elements of the UGIAP, it is proposed that an urban management specialist will head the team. The services of these domestic consultants are required for at least 4 years.

Table A10.3: Staffing Requirements for PEM Consultants

Position	Person-Months
Team leader/urban management specialist	48
Social and gender development expert	48
Municipal finance expert	48
Statistical expert	48
Unidentified	84
Total	276

C. Consulting Services for Project Management Office (PMO)

1. Management, Design, and Supervision

8. The scope of work consists of two parts: (i) management support; and (ii) design and supervision support.

- (i) Activities related to management support pertain to the following (Part A):
 - (a) overall project management support,
 - (b) support to sector loan preparation,
 - (c) urban management assistance, and
 - (d) development assistance (including training) to the PMO and the PIUs.

- (iii) Activities related to design and supervision support are mainly focused on (Part B):
- (a) preparation of subproject appraisal reports,
 - (b) preparation of technical master plans (e.g., on storm water drainage),
 - (c) detailed engineering designs (including land and soil surveys) and cost estimate, and
 - (d) tendering, contract awarding, and supervision of the work.

9. Staffing requirements are presented in Table A11.4. The first 3 years, an international project manager/team leader will head the team. Then project management responsibility will be transferred to one of the two deputy team leaders.

Table A11.4: Staffing Requirements for MDS Consultants (PMO)

Position	Person-Months	
	International	Domestic
Project manager	30	
Deputy project manager (2x)		144
Municipal engineer	6	
Municipal financial expert	6	
Municipal finance expert (2x)		144
Accountant		72
Municipal engineer (10x)		720
Structural and design engineer (2x)		120
Architect		30
Traffic engineer		20
Water supply engineer		6
Environmental engineer (2x)		20
Unidentified	6	97
Resident engineer at PIUs (22x)		792
AutoCad and computer expert (3x) ^a		200
Total	48	2,437

2. Monitoring and Evaluation

10. Activities in this respect are focused on, but not limited, to the following:

- (i) Assist with the preparation and implementation of a detailed monitoring and evaluation work plan based on experiences under previous projects and assist with the assignment of tasks to collect monitoring and evaluation indicators that will be monitored on a periodic basis.
- (ii) Review staff capabilities within the PMO and the PIUs, undertake monitoring and evaluation activities, and propose staffing adjustments if necessary.
- (iii) Develop general and sector-specific indicators and parameters based on the experiences of STIDP II's monitoring and evaluation activities.

- (iv) Assist in the institutionalization of monitoring and evaluation activities in the Pourashava to generate baseline data (including the development of formats for baseline data generation and collection).
- (v) Assist UMSU's PEM Section by collecting information and other relevant data required for assessing the performance of participating Pourashavas.

11. The staff required for monitoring and evaluation is indicated in Table A11.5. The total number of person-months comes to 246 based on services to be delivered during the full period of the Project (6 years).

Table A11.5: Staffing Requirements for Monitoring and Evaluation Consultants (PMO)

Position	Person-Months
Team leader/institutional development expert	72
Environmental engineer (2x)	20
Financial analyst	24
Sociologist/community development expert	24
Unidentified	106
Total	246

3. UGIAP Implementation Facilitators

12. Based on the five areas to be covered under the UGIAP, support and coordination activities provided by individual consultants require the following fields of expertise: (i) town planning and development, (ii) municipal accounting and finance, (iii) community development and mobilization, (iv) social and gender development, and (v) poverty reduction and environmental protection. The scope of work comprises, but is not limited to, the following:

- (i) Assist the various groups under the PIU's UGIS with the preparation and implementation of the UGIAP (e.g., PRAP, municipal infrastructure development plan, gender action plan (GAP), formation of town committee, etc.);
- (ii) Attend the meetings of these groups and provide suggestions, recommendations, and proposals related to issues discussed by the local stakeholders.
- (iii) Assist in the preparation of reports and technical notes as required by the various groups.
- (iv) Assist the chairperson and secretary with the preparation and implementation of meetings and other activities.
- (v) Deliver hands-on training related to the issues at stake (if required and appropriate).
- (vi) Submit quarterly assessment reports on all UGIAP activities (in respective areas) to the PMO, and assist the secretary in preparing quarterly PIU reports on the UGIAP to PMO.

13. All listed positions and inputs (per Pourashava) in Table A11.6 are linked to the key elements of the UGIAP. It is estimated that the support activities to be delivered will require an input of (maximum) 3 months per year for each expert; in total 880 person-months are required for 22 Pourashavas over 4 years. The consultants will operate on a regional basis and as such they will assist 2-3 Pourashavas each.

Table A11.6: Staffing Requirements for UGIAP Implementation Facilitators (PMO)

Position/Area of Expertise	Person-Months
Town planner	4 x 3 = 12
Municipal accounting expert	4 x 1 = 4
Community mobilization expert	4 x 2 = 8
Social and gender development specialist	4 x 3 = 12
Poverty reduction/environment specialist	4 x 1 = 4
Total	40
	(per Pourashava)

TECHNICAL ASSISTANCE FOR SUPPORTING URBAN GOVERNANCE REFORM

A. Background

1. In respect of the fact that not much attention has been given to the urban local bodies till date despite the rapid pace of urbanization, the policy dialogue under the Project confirmed the need to establish a special commission/committee at the highest level in order to consider strengthening of urban local governments in a comprehensive manner. In particular, during discussions with the minister of Local Government, Rural Development and Cooperatives, it was suggested that the Project would provide the framework for such a committee. As stipulated during the discussions with the minister, the activities of this committee may include, among others, the preparation of the National Urban Sector Policy for cabinet approval, review and revision of the 1977 Pourashava Ordinance, and examination of other critical issues for sustainable urban development.

B. Objectives and Scope

2. The TA will provide necessary technical and secretarial support to the Committee on Urban Local Governments (CULG) in the following key policy areas, which were identified during the policy dialogue carried out by the ADB mission:

- (i) In consultation with various stakeholders in the urban sector, prepare the National Urban Sector Policy for cabinet approval, containing recommendations, among others, on the approach to be followed in the process and the pattern of urbanization in Bangladesh; identify the nature of existing urban problems; and analyze the reasons underlying the inability of city corporations and Pourashavas to provide essential services to city dwellers.
- (ii) Review the existing holding tax system in the country and suggest reforms for improving collection of holding taxes from public and private sector entities as well as solving the problem of recurrent arrears of such taxes.
- (iii) Make recommendations for the amendment of the 1977 Pourashava Ordinance to reflect the needs for improved local governance and better urban management.
- (iv) Review the Government's long-term strategy for municipal development (covering upazila towns and Pourashavas) and make recommendations for preparing a master plan for future development of these key urban centers.

C. Implementation Arrangements

3. Given the issues to be addressed, the members of CULG should be senior political leaders and officials representing all tiers of government. The Chairman should have power to co-opt additional members if appropriate. The composition of the Committee will be as follows:

- (i) Minister for Local Government, Rural Development and Cooperatives (Chairperson);
- (ii) Reputed senior urban development specialist;
- (iii) One member of parliament;
- (iv) Mayor of Dhaka City Corporation;
- (v) Secretary, Local Government Division (LGD);
- (vi) Secretary, Ministry of Housing and Public Works;
- (vii) Secretary, Finance Ministry;
- (viii) Secretary, Planning Ministry;
- (ix) Secretary, Implementation Monitoring and Evaluation Division
- (x) Secretary, Ministry of Women and Children Affairs

- (xi) Chief engineer, Local Government Engineering Department (LGED);
- (xii) Chief engineer, Department of Public Health Engineering;
- (xiii) Director general, Health Directorate;
- (xiv) Director general, Bureau of NGO Affairs;
- (xv) Director general, National Institute of Local Governments;
- (xvi) Director general, Department of Environment;
- (xvii) Director, Urban Development Directorate;
- (xviii) President of the Association of Pourashava Chairpersons;
- (xix) Two Chairpersons of Pourashavas two commissioners (1 women);
- (xx) President, Supreme Court Bar Association;
- (xxi) President, Federation of Bangladesh Chamber of Commerce and Industry;
- (xxii) President, Association of Development Agencies in Bangladesh;
- (xxiii) President, Federal Union of Journalists;
- (xxiv) President, Bangladesh Women's Association/Parishad;
- (xxv) President, Bangladesh Institute of Planners;
- (xxvi) Chairman, Center for Urban Studies;
- (xxvii) Two distinguished citizens (1 woman); and
- (xxviii) Member secretary (concerned joint secretary).

4. LGD will be the Executing Agency, and the joint secretary of LGD will head the secretariat to assist CULG; other members of the secretariat will be provided by LGD and LGED and the secretariat will be established at LGED. Individual consultants with expertise in urban policy, planning, law, and local government finance will be recruited to conduct required background studies and assist CULG in preparing policy recommendations.

5. LGED will provide a fully furnished office (minimum space of 100 square meters) with sufficient communications (two telephone lines). One vehicle will be hired under the technical assistance (TA) budget; and the Executing Agency will provide additional transport for the counterpart staff. Also to be engaged under the TA will be two research assistants, one translator, and two computer operators/word processors.

6. CULG will convene meetings at least six times during its 2-year tenure. The chairperson may call additional meetings. CULG, with the assistance of the secretariat, will hold dialogues (at the national, regional, and local levels) with political leaders, policy makers, and local stakeholders as well as local aid community in the urban sector; review the recommendations of similar commissions/committees; review relevant documents, acts, ordinances; and mount studies on key issues of urban local governance.

7. The consultants will be selected and engaged in accordance with the Asian Development Bank's (ADB) *Guidelines on the Use of Consultants* and other arrangements on the selection and engagement of domestic consultants. Six domestic consultants and one international consultant will be recruited on an individual basis. The outline terms of reference of the consultants are provided in Section E of this Appendix.

D. Cost Estimates and Financing Arrangements

8. The total cost of the TA is estimated at \$520,000 equivalent. The Government has requested ADB to finance \$400,000 equivalent covering all the foreign exchange costs (\$85,000) and part of the local costs. ADB will finance \$400,000 equivalent, on a grant basis, from ADB's TA funding program. The proposed government contribution of \$120,000 equivalent, in kind, will cover office, conference venues, and counterpart staff remuneration. The details are presented in Table A12:

Table A12: Cost Estimates and Financing Arrangements
(\$'000)

Item	Foreign Exchange	Local Currency	Total Cost
A. Asian Development Bank			
1. Consultants			
a. Remuneration and Per Diem			
i. International Consultants	80	0	80
ii. Domestic Consultants	0	170	170
b. Travel	5	0	5
c. Reports and Communications	0	3	3
2. Equipment	0	10	10
3. Surveys	0	10	10
4. Meetings, Workshops, and Honorariums	0	22	22
5. Research Support, including Technical Staff	0	20	20
6. Dissemination and Publications	0	10	10
7. Office Management and Transport	0	30	30
8. Contingencies	5	40	40
Subtotal (A)	85	315	400
B. Government Financing			
1. Office Accommodation and Counterpart Staff	0	80	80
2. Other Logistical Support	0	40	40
Subtotal (B)	0	120	120
Total	85	435	520

Source: Asian Development Bank estimates.

E. Outline Terms of Reference

1. Preparation of National Urban Sector Policy and Review of Pourashava Ordinance (Five Domestic Consultants)

a. National Urban Sector Advisor (8 person-months)

- (i) Prepare a proposal for the National Urban Sector Policy Paper for approval by CULG; lead a team of individual experts (urban development specialists, urban planner, and public finance specialist) to prepare the National Urban Sector Policy Paper; and carry out high-level dialogue with political leaders, government officials, and local stakeholders to reflect the requirements of all concerned.
- (ii) Review the 1977 Pourashava Ordinance and make recommendations for amendment, which will be submitted to the Committee for further review and discussion; lead other experts to review the various aspects of Ordinance; and carry out extensive discussions with local stakeholders.
- (iii) Provide comments to the international consultant engaged for the Upazila Master Plan Project.
- (iv) Assist CULG in preparing policy recommendations.

b. Urban Policy Specialist (8 person-months); Urban Planner (6 person-months); Public Finance Specialist (4 person-months); and Legal Advisor (4 person-months):

- (i) Under the overall supervision of the National Urban Sector Advisor, contribute to the preparation of the National Urban Sector Policy Paper and undertake other tasks as required.
- (ii) Under the overall supervision of the National Urban Sector Advisor, review the 1977 Pourashava Ordinance and make recommendations accordingly for its amendment and revision.

2. Holding Tax Review and Reform (1 domestic consultant) — Local Government Finance Specialist (4 person-months)

- (i) Examine the current holding tax assessment and collection procedure for public and private holdings; review the rate structure and base, valuation, and determination of tax; identify weaknesses; and recommend systemic, procedural, and administrative improvements to promote voluntary compliance and improve collection, keeping in view the issues of equity and efficiency.
- (ii) Review the systems of holding tax assessment and collection in other South Asian countries and draw lessons for reforming the system in Bangladesh.
- (iii) Review the current system of maintaining and updating tax records, identifying potential taxpayers and monitoring tax assessment and collection, and recommend measures for improvement, including the feasibility and costs of computerization.
- (iv) Recommend measures for resolving the accumulation of arrears of holding tax from government sources, once for all.
- (v) Draft a proposal for reforming holding taxes, discuss the proposal with government agencies and Pourashavas, and draft an implementation plan. Assist CULG in preparing policy recommendations.

3. Preparation of Urban Master Plan for Pourashavas and Upazila Towns (1 international consultant) — Urban Planner/Engineer (4 person-months)

- (i) Review the proposal for the Upazila Town Master Plan Package Preparation Project prepared by LGED; provide comments for consideration by LGED; submit the revised paper for review by CULG; and incorporate the comments.
- (ii) Prepare a project proposal for consideration by ADB with a full set of terms of reference for consulting services required under the ensuing project.
- (iii) Similarly, prepare a project proposal for ADB's consideration concerning key Pourashavas (district towns and larger category B Pourashavas).
- (iv) Visit upazila towns and Pourashavas and ensure that the Master Plan will be developed in a participatory manner.

SUMMARY POVERTY REDUCTION AND SOCIAL STRATEGY

A. Linkages to the Country Poverty Analysis

Sector identified as a National Priority in Country Poverty Analysis? Yes	Sector identified as a National Priority in Country Poverty Partnership Agreement? Yes
Contribution of the sector/subsector to reducing poverty in Bangladesh: The incidence of poverty, as measured by the costs of basic needs poverty line, fell from 58.8% in 1992 to 49.8% in 2000. A sector breakdown of poverty shows that progress on reducing poverty incidence was almost equal across urban and rural areas: the urban headcount rate declined from 44.9% to 36.6% (by 8.3%) while rural poverty declined from 61.2% to 53.0% (by 8.2%). However, the moderate reduction in urban poverty during the last decade was accompanied by a notable increase in urban income inequality, as the Gini coefficient increased from 0.398 to 0.452. The situations have been somewhat different in the case of absolute numbers of the poor in urban and rural areas. In 1992, the number of urban poor was 6.5 million while the total urban population was 14.6 million. This then increased to 9.3 million in 2000. Thus there was at least a 43% growth of the urban poor population during the last decade. The rural poor population, on the other hand, recorded a decline in its absolute number from 57.6 million to 53.5 million. The principal reason behind this phenomenon is the large-scale shift of the rural population to the urban areas in the hope of better economic opportunities. The labor force in urban towns is composed primarily of migrants. It is also dominated by youth. The urban poor in the slums have very low levels of education and hardly any skills. About 40% of the population aged 5-15 years are not attending school. Sixty to eighty percent of the urban labor force is in the informal sector depending on the size of the city. Female migrants in small towns lack employment opportunities in both the formal and informal sector. An increasing number of urban poor especially the youth, are being employed in socially unproductive or unacceptable occupations, like extortion, begging, and prostitution. If the current trend of migration continues, the urban poor will increase to 25-30% of the total country's poor by 2020, if not more. This points to the growing need to address adverse impacts of unplanned and uncontrolled urbanization and promote balanced urban development. In particular, the Asian Development Bank's (ADB) urban sector strategy in Bangladesh has recognized the strategic importance of secondary towns in the urbanization process, and the need to promote them to lead a sound and balanced urban development. The concentration of population and activities in a few metropolitan areas has aggravated urban environmental conditions in the absence of adequate capacities to manage urban growth. Recognizing diseconomies of congestion and deteriorating living conditions of the urban poor in metropolitan cities, ADB has already provided five loans totaling \$208 million for urban infrastructure projects in secondary towns since the start of its operations in Bangladesh in the late 1980s. The proposed Project will further contribute to the achievements made so far by improving urban governance and infrastructure services in secondary towns.	

B. Poverty Analysis

Proposed Classification: Poverty Intervention

Under the Project, low-income families were identified based on their monthly incomes. The households with monthly incomes of less than Tk4,700 (\$81) are classified as poor and those with monthly incomes of less than Tk3,400 (\$59) as hard-core poor. The household survey shows that about 35% of the population in the project towns are classified as poor and around 15% as hard-core poor.

The direct impact of the Project on poverty reduction is employment generation arising from the construction phase. The unskilled labor content of the Project is estimated at Tk298 million, equivalent to 11,160 person-years. While the gender ratio of unskilled labor employment is difficult to estimate, it is anticipated that at least one third of the unskilled labor person-years will be destined for women. The Gender Action Plan under the Project also assures that women workers will get fair wages relative to the male workers.

The Project will also benefit the poor through direct support for environmental improvement and income generation. The integrated package of services (low-cost sanitation, microcredit, and community-based waste management, etc.) to be provided will have a significant impact on the living conditions of poor people. Raising environmental conditions will also mitigate the incidence of waterborne and vectored diseases, with consequent reduction in mortality and morbidity rates. Currently, environmental conditions in the Project towns are grossly unsatisfactory, and fewer than 50% have access to sanitary facilities. Wastes from community latrines, where provided, frequently contaminate the groundwater. During monsoon times, conditions are particularly unhygienic.

An important element of the Pourashava Poverty Reduction Action Plan is the focus on increasing self-reliance within the low-income and poor communities, with particular emphasis on the involvement of women and jobless youth in community activities. Specific funds are allocated for income-generating activities, skills development, and basic health services with assistance from nongovernment organizations. In addition, the Project will ensure privacy for women by providing adequate facilities for women in public toilets and transportation facilities.		
Benefits to poor	Gender Benefits	Benefits to minorities/indigenous groups
Urban Governance Improvement Component		
Women and youth from poor and low-income households will be provided with small funds for income-generating activities. The Pourashava Poverty Reduction Action Program will provide the poor in slum areas with the unique opportunities to formulate participatory planning for the development of their own community. A mechanism will be developed for increasing the participation of the poor in community planning and implementation of various poverty reduction activities.	Female ward commissioners will receive a separate training for their role in managing municipal affairs. They will organize local women's group for increased participation of women in urban planning and management.	Indigenous peoples specialist will be engaged at PIU to ensure that the benefits of the project reach the indigenous people and to monitor any adverse impact of the project on them. Specific skills training will be developed and organized within the cultural context of indigenous people.
Urban Infrastructure Improvement Component		
The investment component of the Project will generate direct employment opportunities (equivalent of 10,000 person-years) during the construction period. Poor people in underserved areas and slums will have increased access to basic urban services (roads, sanitation, drains, etc.) Improved infrastructure will provide better economic opportunities for the poor, as they will have increased mobility and improved access to roads and markets.	Women will have increased role in project implementation and maintenance as mandated in the gender action plan adopted under the project. The design of the public facilities built under the project (e.g., bus terminals markets) will properly address the women's needs. The Project will increase employment and income-earning opportunities for poor women, especially during the construction period. Women will receive equal wages relative the men. The improved services will reduce the health hazard as well as reduce workload of women in collection of water and in solid waste management.	The investment component will improve the access to municipal services by indigenous people.

C. Participation Process

Stakeholder analysis prepared:	Yes
Participation strategy:	Yes
The investment component in each project town was discussed with the municipal authorities and various stakeholders. To ensure that benefits of the Project is shared by all local stakeholders, a participatory approach will be emphasized during implementation. In particular, ward-based citizen committees, market committees, and gender and environment committees will be established. Emphasis will be also given to participation of women ward members in the Project through the (i) infrastructure management committee, (ii) market committee, and (iii) environment committee. Regular interaction will be ensured between municipality and citizens through joint rallies, consultations, meetings etc.	

D. Potential Impacts

	Significant/ Nonsignificant/ Uncertain/ None	Strategy to Address Issues	Output Prepared
Resettlement	Nonsignificant	Expansion and improvement of roads and construction of drainage system will require land acquisition, and eviction or temporary displacement of vendors/squatters. A resettlement framework and resettlement plan for sample core subprojects are included in the Supplementary Appendix.	Resettlement framework Short resettlement plan
Gender	Significant	The role of female ward commissioners in the municipalities is not clear. They have few responsibilities in the development activities of the municipality and in urban governance. The Project envisages effective participation of female ward commissioners in municipal governance. The Project will facilitate (i) capacity building of female ward commissioners; (ii) gender mainstreaming within the Local Government Engineering Department and in municipalities; and (iii) increase in recruitment of more female professional and support staff in the municipalities. Seasonal employment opportunities will be created for women in construction and ongoing maintenance of infrastructure. The micro credit component will provide poor women and youth with income-earning opportunities.	Gender action plan
Affordability	Nonsignificant	The urban people currently lack access to services, and the Project will provide urban dwellers with various services. Slum dwellers will be provided with low-cost toilet facilities.	None
Labor	Nonsignificant	No adverse impact is anticipated. The Project will ensure minimum wages for laborers in construction work. It will try to reduce the gap in wages between women and men in construction work.	None
Indigenous Peoples	Significant	Bandarban and Khagrachari municipalities are included from the Hill Tracts Region. These towns have different tribal groups representing around 30-40% of the population in the municipal area. The vision papers of these municipalities will include a separate plan within the context of the of indigenous people's culture in order to address the needs of the indigenous people.	Indigenous peoples framework
Other Risks/ Vulnerabilities Trafficking of women and children	Nonsignificant	The employment-creation and awareness-raising component will contribute towards curbing vulnerability to trafficking.	None

ECONOMIC AND FINANCIAL ANALYSES OF TYPICAL SUBPROJECTS

1. Economic internal rates of return (EIRRs) and financial internal rates of return (FIRRs), as appropriate, were prepared for representative subprojects in accordance with the Asian Development Bank's (ADB) *Framework for the Economic and Financial Appraisal of Urban Development Sector Projects*. EIRRs were prepared for roads, drainage, and slum improvement components, and FIRRs for water supply, and municipal facilities. The evaluations are summarized in Tables A14.1 and A14.2.

2. The basic assumptions used in economic analysis are that (i) economic costs are based on June 2002 prices; (ii) both capital cost and operation and maintenance (O&M) cost estimates were apportioned into traded and nontraded components and labor; (iii) using a domestic price numeraire, financial prices (based on June 2002 prices and reduced by duties and taxes) were converted to economic prices by a shadow exchange rate factor of 1.05 for traded cost components and 1.0 for nontraded cost components; (iv) a shadow wage rate factor of 0.87 was used for skilled and 0.67 for unskilled labor to reflect unemployment and underemployment; (v) annual O&M cost is assumed to be 0.5% of capital cost, and periodic (every 6 years) maintenance cost 3% of capital cost; and (vi) subprojects were assessed for a period that include project implementation and 20 years of benefits, with no allowance for the residual value of assets at the end of the evaluation period.

3. Financial analyses are conducted in June 2002 prices taking into account incremental O&M. Basic assumptions used in the computation of the FIRR include the following: (i) all revenues and costs are expressed at constant June 2002 prices on an incremental basis; (ii) project investment costs were derived from the estimated base costs and physical contingencies, but without considering price contingencies and interest during construction; and (iii) capital expenditures are recorded at the time when they are incurred, while interest and depreciation are excluded.

A. Drainage

4. Under phase 1, primary and secondary drains of 83.35 kilometers (km) in 21 Pourashavas will be upgraded and extended at a base cost of Tk340 million (\$5.87 million). The proposed rehabilitation of the drainage system will help reduce the incidence of flooding in a catchment area of 292 hectares benefiting 71,695 properties. Economic evaluation was prepared for all schemes within a Pourashava because linkages between drains result in benefits that are not always discrete to an individual scheme. The improved drainage network will help reduce damage to houses, household goods, crops, and business activity in the areas presently experiencing inundation. The improvements will further result in increased value of land in the catchment area.

5. For economic benefit, the annual flood damage to movable and immovable household property was quantified based on the findings of a socioeconomic survey carried out under the PPTA. The annual average damage cost was estimated between Tk1,400 and Tk2,715 depending on the type of the property. The number of properties is based on the Pourashavas estimates of the properties expected to be benefited within the catchments area of each proposed scheme. Allowance is made for the unit benefit to rise by 2% per annum in the future, as against the forecast growth of around 5% in the gross domestic product per capita.

6. The economic evaluations, which also take into account the incremental maintenance costs, estimated the overall EIRR at 34.0 percent (individual EIRRs range from 12.1% to 73.7%). However, actual EIRR could be even higher, given that the rehabilitated drainage system will generate additional benefits that are difficult to quantify: (i) reduced damage to motor vehicles and public infrastructure such as roads; (ii) reduced loss of personal income when employment is disrupted; (iii) reduced waterlogging from rainwater into residential areas (the stagnant and contaminated water becomes the source of mosquito breeding); (iv) reduced degradation of urban environmental conditions; (v) reduced incidence of waterborne diseases within the community, which would result in reduction of childhood prenatal and postnatal illness and mortality rates; and (vi) reduced disruption to personal and community life caused by slow dispersal of storm water, etc.

B. Roads

7. Investments are aimed at improvement to a variety of surfaces and alignments of existing roads, plus some road widening. There is no new road construction. In all, 293 individual schemes have been submitted by 21 Pourashavas for inclusion under phase 1. The cost of all except four individual schemes is well below the ADB's cut-off rate for analysis of \$200,000 (Tk11.6 million).

8. While submitting the proposal for the road rehabilitation schemes, the Pourashavas were asked to carry out a 12-hour traffic count to support the need for the upgradation. Although the Pourashavas have submitted a broad traffic count for each scheme, their reliability cannot be fully assessed. The economic analysis therefore has been carried out for the four schemes costing above \$200,000, and a few other representative schemes to demonstrate their feasibility.

9. The improved road network will result in reduction in traffic congestion and accidents, savings in travel time and vehicle operating costs, and safer conditions for pedestrians and non-motorized traffic. The main objective of investment in urban roads is to reduce user costs of different vehicle types, which means the reduction of cost to the travelers in moving from one location to another.

10. For benefit analysis, vehicle operating costs have been classified into the following groups: (i) distance-dependent costs, which vary directly with distances covered (e.g., consumption of fuel, lubricants, wear and tear of tires, and repair and maintenance); (ii) speed-dependent costs, which arise out of low speed because of poor/bad condition of roads; and (iii) time-dependent costs.

11. In the secondary towns, the most prevalent vehicle type is the rickshaw, and these have therefore been considered for benefit calculation. The difference in the time saved due to increased speed under "without" and "with" project situations was allotted a time value. In the without project situation, pedalling 1 km requires 12.5 minutes, whereas under the improved situation the required time would be reduced to 7.5 minutes/km. This time saved after improvement would be available for additional trips, resulting in benefits. The saving has been converted into a benefit assuming that a rickshaw puller charges Tk3 per km.

12. The individual EIRRs assessed for the selected road schemes range between 13.4% and 74.8% above the economic opportunity cost of capital, which is 12% for Bangladesh. The sensitivity analysis also indicates the robustness of the EIRR with respect to the changes in economic benefits and costs.

C. Water Supply

13. A water supply component under the Project will generally involve rehabilitation of and extension to existing systems. Therefore, the incremental volume sold will be calculated by subtracting the estimated existing volume sold from the projected annual volume sold. To assess the financial viability of a typical water supply component, a financial evaluation was prepared for the water supply component in Lakshmipur. The capacity of the existing production wells in the Pourashava is approximately 2,500 cubic meters per day or about 33% of the daily requirements, estimated at 7,500 cubic meters per day. In terms of geographical coverage, the present water distribution network serves 2,280 out of 12,200 households. In view of the rapidly deteriorating situation, it is proposed to construct two production tubewells, a treatment plant, an overhead tank, and 8 km of distribution pipelines of 100-250 millimeters diameter at a total base cost of Tk36.1 million.

14. The subproject will be funded as 70% loan and 20% grant from the Government. The Pourashava will meet the remaining 10% from its own resources. The loan portion will carry interest at 7% with an amortization period of 20 years including the 5-year grace period.

15. For revenue calculation, it is assumed that the water tariff will rise in real terms by 5% during the FY2003. Upon completion of the new scheme, the tariff will increase in real term by 15% in the year of commissioning and thereafter by 5% on an annual basis. The incremental operating cost of the scheme is estimated at 7% of the cost of the scheme. Based the incremental revenue and costs, the base FIRR is calculated as 10.3% compared with the weighted average cost of capital of 6.1%. Sensitivity tests indicate that the FIRR is most sensitive to the decrease in revenue.

16. The field visit to the town revealed that the domestic users of the subconnections are willing to pay more than the current water tariff payment of Tk150 per month provided the quality of service is improved. The experience from other externally funded projects (e.g., the Netherlands assistance program) shows that households were willing to pay even when the charges were increased by 150% to a maximum 250%. When the tariff increase was 100%, the collection efficiency reached as high as 79%. An affordability analysis shows that overall the water supply charges are affordable, taking into account the low level of even median-income households. The percentage of median income required to pay water charges would be no more than 4-5%.

D. Solid Waste Disposal

17. The solid waste service is paid for through the conservancy element of the holding tax, and the maximum levy permitted under Pourashava Ordinance is 7% of the eligible tax base. Since all property holders must pay the tax, there are no incremental users of the service, and therefore no FIRR can be calculated. Instead, a cost recovery analysis has been carried out for all Pourashavas to assess the adequacy of revenues to recover the cost associated with solid waste service (except for Mehepur, which does not levy the conservancy tax). Revenues are estimated by the conservancy element of the holding tax projections.

18. While it is desirable that revenues should cover all costs, including depreciation and recurrent costs for O&M, it is anticipated that only eight Pourashavas will achieve full cost recovery without a significant improvement of tax revenues. Since the poor cost recovery is related to general problems with tax assessment and collection, during project implementation,

participating Pourashavas will be required to adopt several measures to expand the tax base as well as increase the overall holding tax revenues at least by 5-10% a year.

E. Municipal Facilities

19. Financial analyses for municipal facilities (e.g., transport terminals, markets, and slaughterhouses) are prepared in consideration of the Local Government Division's directive that, while Pourashavas may provide these services, they should be operated by the private sector. Revenues for these activities will be derived from leasing the facilities, and are based on investment recovery over 5 years, plus a 2% real annual increase of rental fee. Costs are associated with regular O&M of the facilities, estimated at 2.5% of fixed asset gross book value. The implementation period of the municipal facilities varies significantly: blocks of public toilets can be leased immediately upon completion; the construction of slaughterhouses will take one year, truck terminals 2 years, and bus terminals 3 years based on the experience with the Secondary Towns Infrastructure Development Project II.

20. For markets, it is assumed that Pourashavas will lease out shops to individuals rather than to a single leaseholder. Four different development levels are proposed (41, 62, 75, and 83 shops), depending on the size of the Pourashava. It is estimated that 60% of the total floor area will be leased out, with each shop having a floor area of 11.24 square meters. The rental per square meter is Tk200 per month, with a real annual increase of 2%. Additional income will be obtained from trade licenses, assessed at Tk500 per annum. O&M is 2.5% of fixed assets.

21. Financial evaluations were prepared to develop different types of municipal facilities: The FIRR is estimated at 12.9% for a bus terminal in Narsinghdi, 19.1% for a slaughterhouse in Narayanganji, and 14.5% for markets in Mehepur.

F. Slum Improvement

22. The slum improvement component consists of provision of tubewells, pit latrines, dustbins and street lighting, plus construction of footpaths and microdrainage. The scope of the physical investments in each slum area is based on the number of low-income households. Since most activities under the slum improvement component are aimed at reducing morbidity levels through the introduction of higher sanitation standards, one of the benefits could be health expenditure savings. However, since family health expenditure data collected by the socioeconomic survey are not entirely reliable, benefits are taken in the form of productivity gains, quantified as follows: (i) 10 working days equivalent gained by the wage earner, (ii) 10 working days equivalent gained by the housekeeper from reduced child morbidity levels, and (iii) 30 minutes per day saved by women due to the closer proximity of clean piped water supplies. For economic analysis, it is conservatively assumed that the economic value of the nonwage earner's time is 20% of the wage earner's income. Despite this relatively modest evaluation of productivity gains, the base EIRRs for all 22 towns were estimated above the cut-off rate of 12%.

Table A14.1: Summary of Economic Evaluations

Component/ Location	Economic Internal Rate of Return (%)			
	Base Case	Case 1 Cost Increase 10%	Case 2 Benefit Decrease 20%	Case 3 Cost +5% Benefit -10%
Drainage Rehabilitation, Kishoregonji	29.1	26.6	22.8	24.8
Road Improvement, Manikganji	33.9	31.2	26.8	29.1
Slum Improvement, Tongi	16.6	14.2	12.3	13.8

Table A14.2: Summary of Financial Evaluations

Component/ Location	Financial Internal Rate of Return (%)			
	Base Case	Case 1 Cost increase 10%	Case 2 Benefit Decrease 20%	Case 3 Cost +5% Benefit -10%
Water Supply, Lakshimpur	10.3	8.4	5.8	7.5
Bus Terminal, Shepur	12.8	11.5	11.1	9.8
Truck terminal, Narayanganji	17.4	15.9	13.6	14.4
Markets, Mehepur	14.5	13.2	10.9	11.8